

CITY OF WESTMORELAND, TENNESSEE

Annual Financial Report

For the Year Ended June 30, 2024

CITY OF WESTMORELAND, TENNESSEE

Table of Contents

	<u>Page Number</u>
INTRODUCTORY SECTION:	
Officials of the City of Westmoreland, Tennessee	i
FINANCIAL SECTION:	
Independent Auditor's Report	1-3
Management's Discussion and Analysis	4-10
Basic Financial Statements:	
Government-wide Financial Statements:	
Statement of Net Position	11
Statement of Activities	12
Fund Financial Statements:	
Balance Sheet - Governmental Funds	14
Reconciliation of Balance Sheet to Statement of Net Position of Governmental Activities	15
Statement of Revenues, Expenditures, and Changes in Fund Balance - Governmental Fund	16
Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balance of Governmental Funds to the Statement of Activities	17
Statement of Net Position - Enterprise Funds	18
Statement of Revenues, Expenses, and Changes in Fund Net Position - Enterprise Funds	19
Statement of Cash Flows - Enterprise Funds	20
Statement of Revenues, Expenditures and Changes in Fund Balance - Budget (GAAP Basis) And Actual	
General Fund	21-24
State Street Aid Fund	25
Solid Waste Fund	26
Drug Fund	27
Notes to Financial Statements	29-52

CITY OF WESTMORELAND, TENNESSEE

Table of Contents, Continued

Page Number

REQUIRED SUPPLEMENTAL INFORMATION:

Schedule of Changes in Net Pension Liability (Asset)	53
Schedule of Contributions to the Employee Pension Plan	54
Schedule of Changes in Total Liability and Related Ratios	55

SUPPLEMENTAL INFORMATION:

Capital Assets Used in the Operation of the Governmental Funds:	
Schedule of Changes in Capital Assets - By Type	57
Schedule of Capital Assets by Function and Activity	58
Schedule of Cash and Cash Equivalents and Certificate of Deposits - All Funds	59
Schedule of Changes in Property Taxes Receivable	60
Schedule of Debt Service Requirements - Sewer Department	61
Schedule of Debt Service Requirements - Water Department	62
Schedule of Debt Service Requirements - General Obligation	63
Schedule of Changes in Long-term Debt by Individual Issue	64
Schedule of Utility Rates and Customers	65
Schedule of Federal and State Financial Assistance	66
Schedule of Federal Expenditures	67

COMPLIANCE AND INTERNAL CONTROL:

Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with <i>Government Auditing Standards</i>	69-70
Independent Auditor's Report on Compliance for Each Major Federal Program; Report on Internal Control Over Compliance	71-73
Schedule of Findings and Questioned Costs	74
Schedule of Findings and Responses	75-76
Schedule of Disposition of Prior Year Comments	77
Management's Corrective Action Plan	78

INTRODUCTORY SECTION

CITY OF WESTMORELAND, TENNESSEE

Officials of the City of Westmoreland, Tennessee

June 30, 2024

<u>Name</u>	<u>Title</u>
Elected Officials:	
David Leath	Mayor
Adam Borders	Council member
Doug Brown	Council member
Obern Staples	Council member
Cameron Calvert	Council member
Alex Jones	Council member
Management:	
Meredith Kendall-Jenkins	City Recorder, CMFO Candidate

FINANCIAL SECTION

JOHN R. POOLE, CPA
CERTIFIED PUBLIC ACCOUNTANT

134 NORTHLAKE DRIVE
HENDERSONVILLE, TN 37075

(615) 822-4177

Independent Auditor's Report

Mayor and the City Council of the
City of Westmoreland, Tennessee
Westmoreland, Tennessee

Report on the Audit of the Financial Statements

Opinions

I have audited the financial statements of the governmental activities, the business-type activities, the aggregate discretely presented component units, and each major fund of the City of Westmoreland, Tennessee (the "City"), as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

In my opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the aggregate discretely presented component units, and each major fund of the City, as of June 30, 2024, and the respective changes in financial position and the respective budgetary comparison for the General Fund, State Street Aid Fund, Solid Waste Fund, and the Drug Fund for the year then ended and where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

I conducted my audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in the Government Auditing Standards, issued by the Comptroller General of the United States. My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am required to be independent of the City and to meet my other ethical responsibilities, in accordance with the relevant ethical requirements relating to my audit. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and Government Auditing Standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgement made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and Government Auditing Standards, I:

- ❖ Exercise professional judgment and maintain professional skepticism throughout the audit.
- ❖ Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- ❖ Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed.
- ❖ Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- ❖ Conclude whether, in my judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

I am required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that I identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Required Supplementary Information, which includes Management's Discussion and Analysis, the Schedule of Changes in Net Pension Liability (Asset), the Schedule of Contributions to the Employee Pension Plan, and the Schedule of Changes in Total Liability and Related Ratios, be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. I have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to my inquiries, the basic financial statements, and other knowledge I obtained during my audit of the basic financial statements. I do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

My audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The Schedule of Expenditures of Federal Awards, as required by Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administration Requirements, Cost Principles, and Audit Requirements for Federal Awards, and the other supplementary information are presented for purposes of additional analysis and are not a required part of the basic financial statements. The supplementary information section, as listed in the table of contents, is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In my opinion, the supplementary information is fairly stated in all material respects in relation to the basic financial statements as a whole.

Other Information – Introductory Section

Management is responsible for the Introductory Section included in the annual report. The Introductory Section, as listed in the table of contents, does not include the basic financial statements and my auditor's report thereon. My opinion on the basic financial statements does not cover the Introductory Section, and I do not express an opinion or any other assurance thereon.

In connection with my audit of the basic financial statements, my responsibility is to read the Introductory Section and consider whether a material inconsistency exists between the Introductory Section and basic financial statements, or the Introductory Section otherwise appears to be materially misstated. If, based on the work performed, I conclude that an uncorrected material misstatement of the Introductory Section exists, I am required to describe it in my report.

Other Reporting Required by Government Auditing Standards

In accordance with Government Auditing Standards, I have also issued my report dated November 30, 2024, on my consideration of the City's internal control over financial reporting and on my tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of my testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the City's internal control over financial reporting and compliance.

John R. Poole, CPA

November 30, 2024

MANAGEMENT'S DISCUSSION AND ANALYSIS

CITY OF WESTMORELAND, TENNESSEE

Management's Discussion and Analysis

As management of the City of Westmoreland, Tennessee (the City) we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2024. The analysis focuses on significant financial position, budget changes and variances from the budget, and specific issues related to funds and the economic factors affecting the City. Management's Discussion and Analysis (MD&A) focuses on current year activities and resulting changes.

Financial Highlights:

The assets of the City of Westmoreland exceeded its liabilities at the close of the most recent fiscal year by \$12,702,298. Of this amount, \$1,518,095 (unrestricted net position) may be used to meet the government's ongoing obligations to citizens and creditors. The government's total net position increased by \$167,878 as the local economy continues to grow with revenues \$291,193 higher than the prior year. Expenses were \$354,932 higher in the current year primarily due to increased expenditures in the Police and Water and Sewer departments.

As of the close of the current fiscal year, the City's governmental funds reported combined ending fund balances of \$1,141,732, a decrease of \$411,860 in comparison to the prior year. The decrease in fund balance relates to increased expenditures from capital expenditures partially offset by an increase in revenues from the sale of assets during the year. At the end of the current fiscal year, unassigned fund balance of the General Fund was \$637,216 or 28% of the total general fund expenditures.

The City's business-like activities total net position increased by \$132,759, due to increased user service charges partially offset by increased supply and maintenance costs during the current year.

The City's total debt increased \$1,159,491 during the current fiscal year as the City borrowed to make improvements for infrastructure (sewer) and water meters and equipment purchases. All debts are being paid as scheduled.

Overview of the Financial Statements:

This discussion and analysis is intended to serve as an introduction to the City of Westmoreland's basic financial statements. The City's basic financial statements comprise three components: (1) government-wide financial statements, (2) fund financial statements, and (3) notes to the financial statements. This report also contains other supplementary information in addition to the basic financial statements.

Government-wide financial statements. The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

The Statement of Net Position presents information on all the City's assets and liabilities, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating. The Statement of Activities presents information showing how the government's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected tax).

The Statement of Cash Flows presents the flow of cash inflows/outflows for all enterprise funds during the fiscal year.

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The governmental activities of the City of Westmoreland include general government, personnel, finance, parks, planning, police, fire, disposal service, streets and public works. The government-wide financial statements can be found on pages 11-12 of this report.

Fund financial statements. A Fund is a grouping of related accounts that is used to maintain control over resources that have been segregated from specific activities or objectives. The City of Westmoreland, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City are governmental funds.

Governmental Funds. Governmental Funds are funds used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of resources, as well as on balances of resources available at the end of the fiscal year. Such information may be useful in evaluating a government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the governmental fund balance sheet and governmental fund statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

The City maintains several individual governmental funds. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures, and changes in fund balances for the funds all of which are considered to be major funds. The City of Westmoreland adopts an annual appropriated budget for its general fund. A budgetary comparison statement has been provided for the general fund to demonstrate compliance with this budget. The basic financial statements can be found on pages 14-20 of this report.

Notes to the financial statements. The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found on pages 29-52 of this report.

Financial Analysis of the Financial Statements--Government-wide Financial Analysis

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the City of Westmoreland, assets exceeded liabilities by \$12,702,298 at the close of the most recent fiscal year.

By far the largest portion of the City's assets reflects its investment in capital assets (e.g., land, buildings, machinery, equipment, and infrastructure) less any related debt to acquire those assets that is still outstanding. The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

Financial Analysis of the Financial Statements--City of Westmoreland's Net position - 2024

	Governmental Activities	Business -Type Activities
Current and other assets	\$ 2,013,812	1,549,869
Capital assets	<u>2,993,467</u>	<u>16,195,844</u>
Total assets	5,007,279	17,745,713
Deferred outflows	290,338	177,950
Long-term liabilities outstanding	336,554	7,908,245
Other liabilities	<u>232,118</u>	<u>1,208,024</u>
Total liabilities	568,672	9,116,269
Deferred inflows	780,627	53,414
Net position:		
Net investment in capital assets	2,656,913	8,287,599
Restricted	144,619	95,072
Unrestricted	<u>1,146,786</u>	<u>371,309</u>
Total net position	\$ 3,948,318	8,753,980

Financial Analysis of the Financial Statements--City of Westmoreland's Net position - 2023

	Governmental Activities	Business -Type Activities
Current and other assets	\$ 2,235,712	2,310,317
Capital assets	<u>2,589,407</u>	<u>13,880,719</u>
Total assets	4,825,119	16,191,036
Deferred outflows	344,246	249,282
Long-term liabilities outstanding	421,913	6,658,694
Other liabilities	<u>244,350</u>	<u>678,921</u>
Total liabilities	666,263	7,337,615
Deferred inflows	589,903	481,482
Net position:		
Net investment in capital assets	2,170,494	7,222,025
Restricted	685,295	116,972
Unrestricted	<u>1,057,410</u>	<u>1,282,224</u>
Total net position	\$ 3,913,199	8,621,221

At the end to the current fiscal year, the City is able to report positive balances in all categories of net position, both for the government as a whole, as well as for its separate governmental and business-type activities. The same situation held true for the prior year.

Financial Analysis of the Financial Statements

As noted earlier, the City uses fund accounting to ensure and demonstrate compliance with finance related legal requirements.

Governmental Funds

The focus of the City of Westmoreland's governmental funds is to provide information on near-term inflows, outflows and balances of resources. Such information is useful in assessing the City's financing requirements in particular, unassigned fund balance may serve as a useful measure to a government's net resources available for spending at the end of the fiscal year.

The general fund is the chief operating fund of the City's. At the end of the current fiscal year, unassigned fund balance of the general fund was \$637,216. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to total fund expenditures. Unassigned fund balance represents 28% of total general fund expenditures.

Comparison of revenues and expenses 2023 and 2024

	2023 Governmental Activities	2024 Governmental Activities	Change Between Years	2023 Business- type Activities	2024 Business- type Activities	Change Between Years
Revenues:						
Program revenues:						
Charges for services	341,099	414,180	73,081	2,688,015	2,967,018	279,003
Operating grants and contributions	153,164	166,176	13,012	0	0	0
Capital grants and contributions	0	0	0	317,743	77,504	(240,239)
General revenues:						
Property taxes	575,906	579,597	3,691	0	0	0
Sales taxes	1,175,544	1,143,941	(31,603)	0	0	0
Other local taxes	201,564	229,322	27,758	0	0	0
Other state shared taxes	20,280	34,597	14,317	0	0	0
Other	5,550	173,441	167,891	22,718	7,000	(15,718)
Total revenues	<u>2,473,107</u>	<u>2,741,254</u>	<u>268,147</u>	<u>3,028,476</u>	<u>3,051,522</u>	<u>23,046</u>
Expenses:						
General government	\$483,008	\$542,923	59,915	0	0	0
Police department	1,182,585	1,332,147	149,562	0	0	0
Fire department	167,511	162,459	(5,052)	0	0	0
Highways and streets	269,807	244,348	(25,459)	0	0	0
Parks and recreations	57,767	66,197	8,430	0	0	0
State street aid	156,854	123,261	(33,593)	0	0	0
Solid waste	222,403	234,800	12,397	0	0	0
Water and Sewer	0	0	0	2,730,031	2,918,763	188,732
Total expenses	<u>2,539,935</u>	<u>2,706,135</u>	<u>166,200</u>	<u>2,730,031</u>	<u>2,918,763</u>	<u>188,732</u>
Change in net position	<u>(66,828)</u>	<u>35,119</u>	<u>101,947</u>	<u>298,445</u>	<u>132,759</u>	<u>(165,686)</u>

Governmental Budgetary Highlights

The City exceeded several of its expenditure budgets due to some unplanned expenditures. See pages 21-27 for further information.

Capital Assets

The City of Westmoreland's investment in capital assets from its governmental activities at June 30, 2024, amounts to \$2,993,467 (net of accumulated depreciation) and its business-type activities amounts to \$16,195,844. This investment in capital assets is in land, buildings, improvements, machinery and equipment.

Major capital asset events during the current fiscal year included the following:

- Infrastructure improvements to Water and Sewer systems
- Infrastructure improvements to City streets
- Purchase of water meters

City of Westmoreland's Capital Assets - 2024

	Governmental <u>Activities</u>	Business-Type <u>Activities</u>
Land, improvements and building	\$3,524,250	95,201
Equipment	<u>2,380,110</u>	<u>24,224,128</u>
Less accumulated depreciation	(2,910,893)	(8,123,485)
Net Capital Assets	<u>\$2,993,467</u>	<u>\$16,195,844</u>

City of Westmoreland's Capital Assets - 2023

	Governmental <u>Activities</u>	Business-Type <u>Activities</u>
Land, improvements and building	\$ 3,013,490	95,201
Equipment	<u>2,280,295</u>	<u>21,525,757</u>
Less accumulated depreciation	(2,701,378)	(7,740,239)
Net Capital Assets	<u>\$ 2,592,407</u>	<u>\$ 13,880,719</u>

Additional information on the City of Westmoreland's capital assets can be found in the notes to the financial statements section of this report.

Long-Term Debt

The City has \$336,554 in general obligation debt and \$7,903,544 in utility related debt. During the year the City borrowed \$1,522,315 in Utility debt for infrastructure improvements and the purchase of water meters. During the year the governmental funds paid \$85,359 to reduce general obligation debt and the Utility fund paid \$277,465. Additionally, \$77,504 of utility debt was forgiven as part of a grant/loan program. All loans are being paid as scheduled

Economic Factors and Next Year's Budget and Rates

In the 2024-2025 budget, General fund revenues and user fees are budgeted to increase from the 2023-2024 budget year primarily due to increased usage and an increase in the sales tax revenues. The City's budget has benefited by an expanding commercial and retail base producing increased local sales tax receipts.

All of these factors were considered in preparing the City's budget for the 2024-2025 fiscal year.

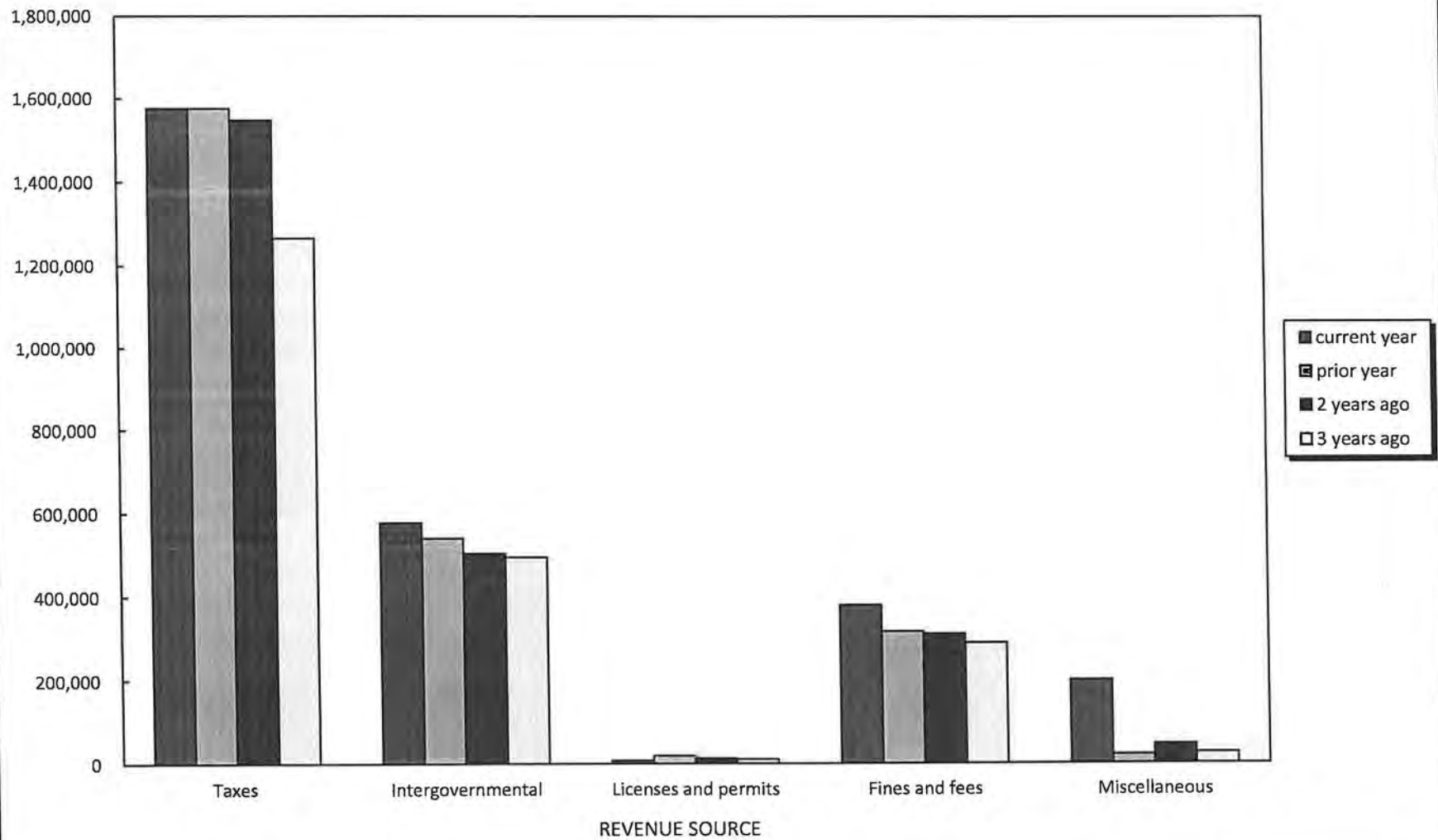
Requests for Information

This financial report is designed to provide a general overview of the City of Westmoreland, Tennessee's finances for all those with an interest in the government's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to:

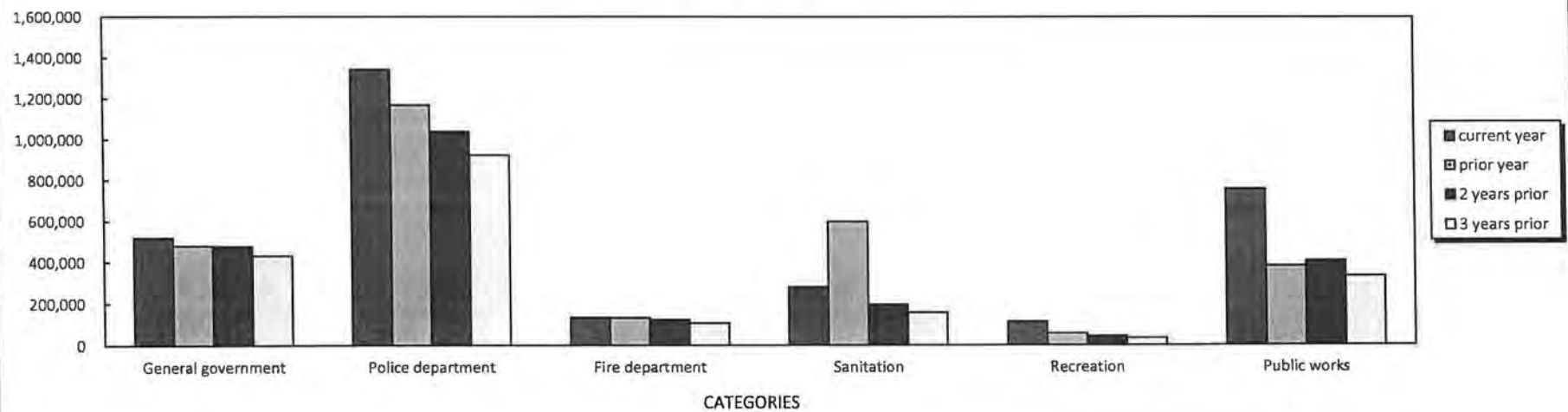
Meredith Kendall-Jenkins
City of Westmoreland

CITY OF WESTMORELAND, TENNESSEE

GOVERNMENTAL FUND REVENUES



CITY OF WESTMORELAND, TENNESSEE
GOVERNMENTAL FUND EXPENDITURES



BASIC FINANCIAL STATEMENTS

CITY OF WESTMORELAND, TENNESSEE

Statement of Net Position

June 30, 2024

	Governmental Activities	Business Activities	Total	Component Unit Industrial Development
<u>Assets</u>				
Cash and cash equivalents	812,819	1,284,094	2,096,913	113,876
Certificate of deposit	24,966	139,026	163,992	155,169
Receivables	1,018,313	218,701	1,237,014	0
Prepaid assets	54,604	11,158	65,762	16,493
Internal balances	103,110	(103,110)	0	0
Capital assets not being depreciated	152,806	9,835,908	9,988,714	0
Capital assets, net of accumulated depreciation	2,840,661	6,359,936	9,200,597	500,181
Total Assets	<u>5,007,279</u>	<u>17,745,713</u>	<u>22,752,992</u>	<u>785,719</u>
Deferred outflows:				
Deferred outflows of resources - OPEB	20,725	12,703	33,428	0
Deferred outflows of resources - pension	269,613	165,247	434,860	0
Total Deferred Outflows	<u>\$290,338</u>	<u>\$177,950</u>	<u>\$468,288</u>	<u>0</u>
<u>Liabilities, Deferred Inflows, and Net Position</u>				
<u>Liabilities</u>				
Accounts payable	84,081	542,600	626,681	0
Accrued expenses	0	12,207	12,207	0
Unearned revenue - ARPA grants	0	433,879	433,879	0
Customer deposits	0	128,605	128,605	0
Total OPEB liability	16,704	10,238	26,942	0
Net pension liability	131,333	80,495	211,828	0
Long-term liabilities:				
Due within one year	73,672	318,373	392,045	34,195
Due in more than one year	262,882	7,589,872	7,852,754	178,986
Total Liabilities	<u>568,672</u>	<u>9,116,269</u>	<u>9,684,941</u>	<u>213,181</u>
Deferred inflows:				
Deferred inflows of resources - current year property taxes	693,477	0	693,477	0
Deferred inflows of resources - OPEB	41,922	25,694	67,616	0
Deferred inflows of resources - pension	45,228	27,720	72,948	0
Total Deferred Inflows	<u>\$780,627</u>	<u>\$53,414</u>	<u>\$834,041</u>	<u>0</u>
<u>Net position:</u>				
Net Investment in Capital Assets	2,656,913	8,287,599	10,944,512	287,000
Restricted - Debt Service	0	95,072	95,072	0
Restricted - State Street Aid	53,097	0	53,097	0
Restricted - Drug Fund	5,381	0	5,381	0
Restricted - Solid Waste Fund	86,141	0	86,141	0
Unrestricted	1,146,786	371,309	1,518,095	285,538
Total Net Position	<u>3,948,318</u>	<u>8,753,980</u>	<u>12,702,298</u>	<u>572,538</u>

See accompanying notes to financial statements.

CITY OF WESTMORELAND, TENNESSEE

Statement of Activities

For the Year Ended June 30, 2024

Function/Programs	Program Revenues			Capital Grants and Contributions	Net (Expenses) Revenue and Changes in Net Position		Total	Component Unit Industrial Development
	Expenses	Charges for Services	Operating Grants and Contributions		Governmental Activities	Business-Type Activities		
Government Activities:								
General government	542,923	7,514	35,458	0	(499,951)	0	(499,951)	0
Police	1,332,147	142,629	0	0	(1,189,518)	0	(1,189,518)	0
Fire	162,459	26,125	30,000	0	(106,334)	0	(106,334)	0
Highways and streets	244,348	0	0	0	(244,348)	0	(244,348)	0
Parks and recreations	66,197	0	0	0	(66,197)	0	(66,197)	0
Solid waste	234,800	237,912	0	0	3,112	0	3,112	0
State street aid	123,261	0	100,718	0	(22,543)	0	(22,543)	0
Total Governmental Activities	2,706,135	414,180	166,176	0	(2,125,779)	0	(2,125,779)	0
Business - type Activities:								
Water and Sewer	2,918,763	2,967,018	0	77,504	0	125,759	0	0
Total Business Type Activities	2,918,763	2,967,018	0	77,504	0	125,759	0	0
Component Unit - Industrial Board	120,656	258,260	0	50,438	188,042	0	0	188,042
Total	5,624,898	3,381,198	166,176	77,504	(2,125,779)	125,759	(2,125,779)	0
General Revenues:								
Property taxes					546,288	0	546,288	0
Public utility taxes					33,309	0	33,309	0
Sales taxes					1,143,941	0	1,143,941	0
Beer taxes					178,463	0	178,463	0
Business taxes					44,908	0	44,908	0
Franchise taxes					5,951	0	5,951	0
State excise taxes					21,742	0	21,742	0
State telecommunications tax					7,760	0	7,760	0
State sports betting					5,095	0	5,095	0
Interest income					555	7,000	7,555	5,454
Other					172,886	0	172,886	0
Total general revenues					2,160,898	7,000	2,167,898	5,454
Changes in Net Position					35,119	132,759	167,878	193,496
Net Position - beginning of year					3,913,199	8,621,221	12,534,420	379,042
Net Position - ending of year					3,948,318	8,753,980	12,702,298	572,538

See accompanying notes to financial statements.

FUND FINANCIAL STATEMENTS

CITY OF WESTMORELAND, TENNESSEE

Balance Sheet

Governmental Funds

June 30, 2024

	General Fund	State Street Aid Fund	Solid Waste Fund	Drug Fund	Total Governmental Fund
<u>Assets</u>					
Cash and cash equivalents	\$746,646	\$49,188	\$11,604	\$5,381	\$812,819
Certificate of deposits	0	0	24,966	0	24,966
Taxes receivable	787,999	0	0	0	787,999
Receivable from other governments	195,159	16,287	18,868	0	230,314
Due from other funds	68,604	0	34,506	0	103,110
Prepaid insurance	49,108	0	5,496	0	54,604
Total Assets	<u>\$1,847,516</u>	<u>\$65,475</u>	<u>\$95,440</u>	<u>\$5,381</u>	<u>\$2,013,812</u>
<u>Liabilities, Deferred Inflows and Fund Balance</u>					
Liabilities:					
Accounts payable	\$62,404	\$12,378	\$9,299	\$0	\$84,081
Total Liabilities	<u>62,404</u>	<u>12,378</u>	<u>9,299</u>	<u>0</u>	<u>84,081</u>
Deferred Inflows of Resources:					
Deferred inflows: current property taxes	693,477	0	0	0	693,477
Deferred inflows: delinquent property taxes	94,522	0	0	0	94,522
Total Deferred Inflow of Resources	<u>787,999</u>	<u>0</u>	<u>0</u>	<u>0</u>	<u>787,999</u>
Fund balance:					
Assigned - fire - Mayor	304,286	0	0	0	304,286
Assigned - police - Mayor	6,503	0	0	0	6,503
Non-spendable	49,108	0	5,496	0	54,604
Unassigned	637,216	0	0	0	637,216
Restricted	0	53,097	80,645	5,381	139,123
Total Fund Balance	<u>997,113</u>	<u>53,097</u>	<u>86,141</u>	<u>5,381</u>	<u>1,141,732</u>
Total Liabilities, Deferred Inflows and Fund Balance	<u>\$1,847,516</u>	<u>\$65,475</u>	<u>\$95,440</u>	<u>\$5,381</u>	<u>\$2,013,812</u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

Reconciliation of the Balance Sheet to the Statement of Net Position
of Governmental Activities

June 30, 2024

Amounts reported for fund balance - total governmental funds	\$ 1,141,732
Amounts reported for governmental activities in the statement of net position are different because:	
Other long term assets are not available to pay for current-period expenditures and therefore are deferred in the governmental funds	94,522
Long-term obligation debt not recorded in the governmental funds	(336,554)
Pension related accounts - governmental funds to not record these post-benefit obligations	
Net pension liability	(131,333)
Deferred outflow - pension	269,613
Deferred inflow - pension	(45,228)
OPEB related accounts - governmental funds to not record these post-benefit obligations	
Total OPEB Liability	(16,704)
Deferred outflow - OPEB	20,725
Deferred inflow - OPEB	(41,922)
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the governmental funds	<u>2,993,467</u>
Net Position of governmental activities	\$ <u>3,948,318</u>

See accompanying notes to financial statements

CITY OF WESTMORELAND, TENNESSEE

**Governmental Funds
Statement of Revenues, Expenditures and Changes in Fund Balances**

For the Year Ended June 30, 2024

	General Fund	State Street Aid Fund	Solid Waste Fund	Drug Fund	Total Governmental Funds
Revenues:					
Taxes	1,575,630	0	0	0	1,575,630
Intergovernmental	482,634	95,369	0	0	578,003
Licenses and permits	7,514	0	0	0	7,514
Fines and fees	140,260	0	237,378	2,369	380,007
Miscellaneous	199,566	0	534	0	200,100
Total Revenues	<u>\$2,405,604</u>	<u>\$95,369</u>	<u>\$237,912</u>	<u>\$2,369</u>	<u>\$2,741,254</u>
Expenditures:					
Current:					
General government	460,415	0	0	0	460,415
Police department	1,275,031	0	0	0	1,275,031
Fire department	133,961	0	0	0	133,961
Highway and streets	158,655	0	0	0	158,655
Parks and recreation	62,251	0	0	0	62,251
Sanitation	0	0	219,931	0	219,931
State street aid	0	123,261	0	0	123,261
Capital outlay:					
General government	16,100	0	0	0	16,100
Police department	66,990	0	0	0	66,990
Parks and recreation	52,580	0	0	0	52,580
Highway and streets	0	474,905	0	0	474,905
Debt service:					
Principal	41,999	0	43,360	0	85,359
Interest	8,806	0	14,869	0	23,675
Total Expenditures	<u>\$2,276,788</u>	<u>\$598,166</u>	<u>\$278,160</u>	<u>\$0</u>	<u>\$3,153,114</u>
Excess (deficiency) of revenues over expenditures	<u>128,816</u>	<u>(502,797)</u>	<u>(40,248)</u>	<u>2,369</u>	<u>(411,860)</u>
 Fund Balance, Beginning of year	 868,297	 555,894	 126,389	 3,012	 1,553,592
Fund Balance, End of Year	<u>\$997,113</u>	<u>\$53,097</u>	<u>\$86,141</u>	<u>\$5,381</u>	<u>\$1,141,732</u>

See accompanying notes to financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balance
of Governmental Funds to the Statement of Activities**

For the Year Ended June 30, 2024

Net change in fund balances - total governmental funds:	\$ (411,860)
Amounts reported for governmental activities in the statement of net position are different because:	
Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense.	
Acquisition of capital assets	610,575
Depreciation expense	(209,515)
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds.	
	9,716
Expenses reported in the statement of activities that affect accrued liabilities that are not reported as expenditures in the governmental funds	
Change in pension plan accrual	(47,238)
Change in OPEB accounts	(1,918)
Expenses reported in the governmental funds that reduce long term debt are not reported as expenses in the statement of activities. Loan proceeds are reported as revenues in the governmental funds but increase long-term debt in the statement of activities.	
Principal debt payments	<u>85,359</u>
Change in Net Position of governmental activities	\$ <u><u>35,119</u></u>

See accompanying notes to financial statements.

CITY OF WESTMORELAND, TENNESSEE

Statement of Net Position

Enterprise (Water and Sewer) Fund

June 30, 2024

Assets

Current Assets:

Cash and cash equivalents	\$1,284,094
Certificate of deposit	139,026
Customer accounts receivable, net of allowance of \$6,707	218,701
Prepaid expenses	11,158
Total Current Assets	<u>1,652,979</u>

Capital Assets:

Utility plant in service	24,319,329
Less accumulated depreciation	(8,123,485)
Total Capital Assets, Net	<u>16,195,844</u>

Total Assets	<u>\$17,848,823</u>
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Deferred outflows:

Deferred outflows of resources - OPEB	12,703
Deferred outflows of resources - pension	165,247
Total Deferred Outflows	<u>177,950</u>

Liabilities, Deferred Inflows, and Net Position

Current Liabilities:

Accounts payable	\$542,600
Accrued expenses	12,207
Unearned revenue - ARPA grants	433,879
Total OPEB liability	10,238
Net pension liability	80,495
Customer deposits	128,605
Due to other funds	103,110
Current portion of long-term debt	318,373
Total Current Liabilities (payable from current assets)	<u>1,629,507</u>

Long-Term Debt:	<u>7,589,872</u>
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Total Liabilities	<u>\$9,219,379</u>
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Deferred Inflows:

Deferred inflow of resources - OPEB	25,694
Deferred inflow of resources - pension	27,720
Total Deferred Inflows	<u>53,414</u>

Net Position:

Net Investment in Capital Assets	8,287,599
Restricted - Debt Service	428,793
Unrestricted	37,588

Total Net Position	<u>\$8,753,980</u>
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The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenses
and Changes in Net Position**

Enterprise (Water and Sewer) Fund

For the Year Ended June 30, 2024

Operating Revenues:	
User service charges	2,791,517
Tap and installation	157,501
Total Operating Revenues	<u>2,949,018</u>
Operating Expenses:	
Salaries	455,631
Employee benefits	162,273
Contract labor	69,719
Water purchased	649,987
Office expense	16,928
Utilities	223,057
Professional services	96,307
Repair and maintenance	271,623
Chemicals and supplies	363,888
Vehicles expenses	49,096
Insurance	114,010
Depreciation	383,246
Total Operating Expenses	<u>2,855,765</u>
Operating income (loss)	<u>93,253</u>
Nonoperating Revenues (Expenses):	
Interest expense	(62,998)
Rental income	18,000
Interest income	7,000
Total Nonoperating Revenues (Expenses)	<u>(37,998)</u>
Other financing sources: capital contributions	<u>77,504</u>
Net change in Net Position	<u>132,759</u>
Net Position, July 1, 2023	<u>8,621,221</u>
Net Position, June 30, 2024	<u><u>\$8,753,980</u></u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

Statement of Cash Flows

Enterprise Fund Type

Water and Sewer Fund

For the Year Ended June 30, 2024

Cash Flows from Operating Activities:	
Cash received from customers	2,960,712
Cash paid to suppliers	(1,059,550)
Cash paid to employees	(617,904)
Net Cash Provided (Used) by Operating Activities	<u>1,283,258</u>
Cash Flows from Capital and Related Financing Activities:	
Purchase of capital assets	(2,698,371)
Loan proceeds	1,522,315
Capital contributions	77,504
Interest paid	(62,998)
Repayment of debt	(277,465)
Net Cash Provided (Used) by Capital and Related Financing Activities	<u>(1,439,015)</u>
Cash Flows from Investing Activities:	
Redemption (Purchase) of certificate of deposit	(1,864)
Interest received	7,000
Net Cash Flows Provided (Used) from Investing Activities	<u>5,136</u>
Net Change in Cash	(150,621)
Cash and Cash Equivalents, July 1, 2023	1,434,715
Cash and Cash Equivalents, June 30, 2024	<u>1,284,094</u>
Reconciliation of Operating Income to Net Cash Provided (Used) by Operating Activities	
Operating income (loss)	93,253
Adjustments to reconcile operating income to net cash provided (used) by operating activities:	
Depreciation	383,246
Lease	18,000
Change in assets (increase) decrease:	
Accounts receivable	11,694
Deferred outflows	71,332
Due from other funds	496,887
Change in liabilities increase (decrease):	
Accounts payable	144,605
Accrued expenses	(1,737)
Unearned revenue - ARPA grants	433,879
Due to other funds	103,110
Total OPEB liability	(10,213)
Net pension liability	(25,200)
Customer deposit	(7,530)
Deferred inflows	(428,068)
Net Cash Provided (Used) by Operating Activities	<u>1,283,258</u>

See notes accompanying the financial statements

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures
and Changes in Fund Balance - Budget (GAAP Basis) and Actual**

General Fund

For the Year Ended June 30, 2024

	Original Budget	Final Budget	Actual	Variance with Final Budget Positive (Negative)
Revenues:				
Taxes:				
Property taxes	\$620,000	\$620,000	\$542,786	(77,214)
Penalty and interest	6,000	6,000	3,502	(2,498)
Local sales tax	800,000	800,000	808,284	8,284
Local beer and alcohol taxes	152,000	152,000	170,199	18,199
Business taxes	23,000	23,000	44,908	21,908
Cable TV tax	12,000	12,000	5,951	(6,049)
Total Taxes	<u>1,613,000</u>	<u>1,613,000</u>	<u>1,575,630</u>	<u>(37,370)</u>
Intergovernmental:				
State sales tax	325,000	325,000	335,657	10,657
State sports betting	0	0	5,095	5,095
State beer and alcohol tax	3,000	3,000	1,213	(1,787)
Mix drink tax	0	0	7,051	7,051
TVA in lieu	28,400	28,400	33,309	4,909
State telecommunications tax	0	0	7,760	7,760
State special petroleum tax	4,980	4,980	5,349	369
Federal and state grants	0	0	35,458	35,458
County fire allocation	6,000	6,000	30,000	24,000
Corporate excise tax	16,000	16,000	21,742	5,742
Total Intergovernmental Revenue	<u>383,380</u>	<u>383,380</u>	<u>482,634</u>	<u>99,254</u>
Licenses and Permits:				
Building licenses	20,000	20,000	7,514	(12,486)
Total Licenses and Permits	<u>20,000</u>	<u>20,000</u>	<u>7,514</u>	<u>(12,486)</u>
Fines and Fees				
Court fines and fees	113,500	113,500	140,260	26,760
Total Fines and fees	<u>113,500</u>	<u>113,500</u>	<u>140,260</u>	<u>26,760</u>
Miscellaneous:				
Miscellaneous	3,000	3,000	0	(3,000)
Sale of assets	10,000	10,000	157,000	147,000
Insurance proceeds	5,000	5,000	15,886	10,886
Fire revenue	0	0	26,125	26,125
Interest income	300	300	555	255
Total Miscellaneous Revenue	<u>18,300</u>	<u>18,300</u>	<u>199,566</u>	<u>181,266</u>
Total Revenues	<u>2,148,180</u>	<u>2,148,180</u>	<u>2,405,604</u>	<u>257,424</u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures
and Changes in Fund Balance - Budget (GAAP Basis) and Actual**

General Fund

For the Year Ended June 30, 2024

	<u>Original Budget</u>	<u>Final Budget</u>	<u>Actual</u>	<u>Variance with Final Budget Positive (Negative)</u>
Expenditures:				
General Government:				
Legislative board:				
Mayor	7,200	7,200	7,200	0
Town Council	6,000	6,000	6,000	0
Town Judge	6,000	6,000	4,000	2,000
Town Attorney	12,000	12,000	12,000	0
Payroll taxes	1,000	1,000	1,010	(10)
Election and planning commission	3,000	3,000	1,100	1,900
Office supplies	4,950	4,950	7,026	(2,076)
Utility	1,200	1,200	1,451	(251)
Professional services	20,190	20,190	19,423	767
Donations	12,500	12,500	16,086	(3,586)
Insurance	310	310	310	0
Supplies	8,476	8,476	4,934	3,542
Industrial development	50,000	50,000	50,438	(438)
Miscellaneous	1,000	1,000	365	635
	<u>133,826</u>	<u>133,826</u>	<u>131,343</u>	<u>2,483</u>
Capital outlay	0	0	0	0
Total Legislative board	<u>133,826</u>	<u>133,826</u>	<u>131,343</u>	<u>2,483</u>
Financial administration:				
Salaries	144,166	144,166	153,771	(9,605)
Employee benefits	61,389	61,389	58,087	3,302
Professional services	6,573	6,573	6,388	185
Office supplies/supplies	12,960	12,960	24,302	(11,342)
Travel and training	2,500	2,500	477	2,023
Utility	6,250	6,250	6,408	(158)
Insurance	4,274	4,274	5,161	(887)
Miscellaneous	650	650	54	596
	<u>238,762</u>	<u>238,762</u>	<u>254,648</u>	<u>(15,886)</u>
Capital outlay	10,610	10,610	0	10,610
Total Financial administration	<u>249,372</u>	<u>249,372</u>	<u>254,648</u>	<u>(5,276)</u>
Government building:				
Utilities	35,000	35,000	33,040	1,960
Maintenance and supplies	15,044	15,044	17,948	(2,904)
Insurance	17,962	17,962	10,207	7,755
Professional services	0	0	13,229	(13,229)
	<u>68,006</u>	<u>68,006</u>	<u>74,424</u>	<u>(6,418)</u>
Capital outlay	0	0	16,100	(16,100)
Debt service	2,300	2,300	15,443	(13,143)
Total Government building	<u>70,306</u>	<u>70,306</u>	<u>105,967</u>	<u>(35,661)</u>
Total General government	<u>453,504</u>	<u>453,504</u>	<u>491,958</u>	<u>(38,454)</u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures
and Changes in Fund Balance - Budget (GAAP Basis) and Actual**

General Fund

For the Year Ended June 30, 2024

	Original Budget	Final Budget	Actual	Variance with Final Budget Positive (Negative)
Public Safety				
Police Department:				
Current:				
Salaries	688,651	688,651	779,301	(90,650)
Employee benefits	190,253	190,253	178,467	11,786
Contracted service	105,149	105,149	93,353	11,796
Supplies and maintenance	32,556	32,556	22,788	9,768
Clothing and uniforms	8,000	8,000	9,828	(1,828)
Training/travel	6,500	6,500	8,240	(1,740)
Vehicle expense	64,000	64,000	77,172	(13,172)
Utilities	21,600	21,600	22,795	(1,195)
Insurance	80,000	80,000	79,294	706
Miscellaneous	11,000	11,000	3,793	7,207
	<u>1,207,709</u>	<u>1,207,709</u>	<u>1,275,031</u>	<u>(67,322)</u>
Debt service	29,080	29,080	34,683	(5,603)
Capital outlay	0	0	66,990	(66,990)
Total Police Department	<u>1,236,789</u>	<u>1,236,789</u>	<u>1,376,704</u>	<u>(139,915)</u>
Fire department:				
Current:				
Salaries and payroll taxes	36,989	36,989	35,764	1,225
Professional services	27,617	27,617	25,662	1,955
Training	1,500	1,500	1,771	(271)
Utilities	1,000	1,000	1,456	(456)
Truck expense	19,800	19,800	19,115	685
Insurance	16,843	16,843	13,072	3,771
Maintenance and supplies	16,776	16,776	36,037	(19,261)
Miscellaneous	1,500	1,500	1,084	416
	<u>122,025</u>	<u>122,025</u>	<u>133,961</u>	<u>(11,936)</u>
Capital outlay	45,000	45,000	0	45,000
Total Fire department	<u>167,025</u>	<u>167,025</u>	<u>133,961</u>	<u>33,064</u>
Total Public Safety	<u>1,403,814</u>	<u>1,403,814</u>	<u>1,510,665</u>	<u>(106,851)</u>
Streets department:				
Current:				
Salaries	68,373	68,373	25,841	42,532
Employee benefits	13,088	13,088	7,082	6,006
Building inspector	5,000	5,000	15,567	(10,567)
Maintenance and supplies	6,178	6,178	3,828	2,350
Street lights	85,000	85,000	85,335	(335)
Contracted services	4,790	4,790	4,454	336
Vehicles expenses	6,500	6,500	2,940	3,560
Insurance	9,021	9,021	9,021	0
Miscellaneous	3,399	3,399	4,587	(1,188)
	<u>201,349</u>	<u>201,349</u>	<u>158,655</u>	<u>42,694</u>
Debt service	14,500	14,500	679	13,821
Capital outlay	0	0	0	0
Total Streets department	<u>215,849</u>	<u>215,849</u>	<u>159,334</u>	<u>56,515</u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures
and Changes in Fund Balance - Budget (GAAP Basis) and Actual**

General Fund

For the Year Ended June 30, 2024

	<u>Original Budget</u>	<u>Final Budget</u>	<u>Actual</u>	<u>Variance with Final Budget Positive (Negative)</u>
Recreation:				
Personnel costs	25,010	25,010	29,168	(4,158)
Utilities	12,000	12,000	9,161	2,839
Maintenance and supplies	19,000	19,000	17,502	1,498
Insurance	5,784	5,784	6,130	(346)
Miscellaneous	500	500	290	210
	<u>62,294</u>	<u>62,294</u>	<u>62,251</u>	<u>43</u>
Capital outlay	<u>37,730</u>	<u>37,730</u>	<u>52,580</u>	<u>(14,850)</u>
Total Recreation	<u>100,024</u>	<u>100,024</u>	<u>114,831</u>	<u>(14,807)</u>
 Total Expenditures	 <u>2,173,191</u>	 <u>2,173,191</u>	 <u>2,276,788</u>	 <u>(103,597)</u>
 Excess (deficiency) of Revenues over Expenditures	 (25,011)	 (25,011)	 128,816	 153,827
 Fund Balance, July 1, 2023	 868,297	 868,297	 868,297	 0
Fund Balance, June 30, 2024	<u>\$843,286</u>	<u>\$843,286</u>	<u>\$997,113</u>	<u>\$153,827</u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures and
Changes in Fund Balance - Budget and Actual**

State Street Aid Fund

For the Year Ended June 30, 2024

	<u>Original Budget</u>	<u>Final Budget</u>	<u>Actual</u>	<u>Variance with Final Budget Positive (Negative)</u>
Revenues:				
Intergovernmental:				
Gasoline .03 tax	14,200	14,200	14,168	(32)
Gasoline 1989 tax	7,700	7,700	7,673	(27)
Gasoline 2017 tax	24,700	24,700	24,635	(65)
Gasoline and motor fuel	49,039	49,039	48,893	(146)
Miscellaneous:				
Interest	100	100	0	(100)
Total Revenues	<u>95,739</u>	<u>95,739</u>	<u>95,369</u>	<u>(370)</u>
Expenditures:				
Streets:				
Salaries and payroll	21,892	21,892	26,881	(4,989)
Professional services	7,190	7,190	4,578	2,612
Insurance	7,990	7,990	6,252	1,738
Street signs	2,500	2,500	2,978	(478)
Supplies	15,078	15,078	8,764	6,314
Vehicle expense	30,000	30,000	10,747	19,253
Maintenance and repair	10,000	37,500	63,061	(25,561)
Miscellaneous	1,089	1,089	0	1,089
	<u>95,739</u>	<u>123,239</u>	<u>123,261</u>	<u>(22)</u>
Capital outlay	0	0	474,905	(474,905)
Total Expenditures	<u>95,739</u>	<u>123,239</u>	<u>598,166</u>	<u>(474,927)</u>
Excess (deficiency) of revenues over expenditures	0	(27,500)	(502,797)	(475,297)
Fund Balance, July 1, 2023	<u>555,894</u>	<u>555,894</u>	<u>555,894</u>	-
Fund Balance, June 30, 2024	<u><u>\$555,894</u></u>	<u><u>\$528,394</u></u>	<u><u>\$53,097</u></u>	<u><u>(\$475,297)</u></u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures
and Changes in Fund Balance - Budget and Actual**

Solid Waste Fund

For the Year Ended June 30, 2024

	Original Budget	Final Budget	Actual	Variance with Final Budget Positive (Negative)
Revenues:				
Refuse collection	239,476	239,476	237,378	(2,098)
Other	100	100	534	434
Total	<u>239,576</u>	<u>239,576</u>	<u>237,912</u>	<u>(1,664)</u>
Expenditures:				
Salaries	57,702	57,702	74,982	(17,280)
Employee benefits	17,019	17,019	25,146	(8,127)
Disposal	57,000	57,000	60,284	(3,284)
Professional services	4,790	4,790	4,578	212
Truck expenses	15,805	29,155	36,154	(6,999)
Supplies	12,042	12,042	7,191	4,851
Insurance	15,016	15,016	9,179	5,837
Miscellaneous	800	800	2,417	(1,617)
	<u>180,174</u>	<u>193,524</u>	<u>219,931</u>	<u>(26,407)</u>
Capital outlay	0	0	0	0
Debt Service	59,402	59,402	58,229	1,173
Total Expenditures	<u>239,576</u>	<u>252,926</u>	<u>278,160</u>	<u>(25,234)</u>
Excess (deficiency) of revenues over expenditures	<u>0</u>	<u>(13,350)</u>	<u>(40,248)</u>	<u>(26,898)</u>
Fund Balance, July 1, 2023	<u>126,389</u>	<u>126,389</u>	<u>126,389</u>	<u>0</u>
Fund Balance, June 30, 2024	<u>126,389</u>	<u>113,039</u>	<u>86,141</u>	<u>(26,898)</u>

The notes accompanying the financial statements are an integral part of these financial statements.

CITY OF WESTMORELAND, TENNESSEE

**Statement of Revenues, Expenditures
and Changes in Fund Balance - Budget and Actual**

Drug Fund

For the Year Ended June 30, 2024

	<u>Original Budget</u>	<u>Final Budget</u>	<u>Actual</u>	<u>Variance with Final Budget Positive (Negative)</u>
Revenues:				
Miscellaneous:				
Fines	0	0	2,369	2,369
Grant	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>
Total Revenues	<u>0</u>	<u>0</u>	<u>2,369</u>	<u>2,369</u>
Expenditures:				
Program costs	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>
Total Expenditures	<u>0</u>	<u>0</u>	<u>0</u>	<u>0</u>
Excess (deficiency) of revenues over expenditures	0	0	2,369	2,369
Fund Balance, July 1, 2023	<u>3,012</u>	<u>3,012</u>	<u>3,012</u>	<u>0</u>
Fund Balance, June 30, 2024	<u><u>\$3,012</u></u>	<u><u>\$3,012</u></u>	<u><u>5,381</u></u>	<u><u>2,369</u></u>

The notes accompanying the financial statements are an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(1) Summary of Significant Accounting Policies

The City of Westmoreland, Tennessee, was incorporated under Chapter 306 of the Private Acts of 1951. The City provides the following services, as authorized by its charter and duly passed ordinances: public safety (Police and Fire), water and sewerage, streets, recreations, public improvements, planning and zoning, and general administrative services. The accounting policies of the City of Westmoreland, Tennessee conform to generally accepted accounting principles as applicable to governments. The following is a summary of the more significant policies.

Reporting Entity:

In evaluating the City as a reporting entity, management follows all applicable GASB statements and has addressed all potential component units (traditionally separate reporting entities) for which the City may be financially accountable and, as such, should be included within the City's financial statements. The City (the primary government) is financially accountable if it appoints a voting majority of the organization's governing board and (1) it is able to impose its will on the organization or (2) there is a potential for the organization to provide specific financial benefit or to impose specific financial burden on the City. Additionally, the primary government is required to consider other organizations for which the nature and significance of their relationship with the primary government are such that exclusion would cause the reporting entity's financial statements to be misleading or incomplete. The City has one component unit at yearend, the Industrial Development Board of the City of Westmoreland. The financial statements of the Industrial Development Board of the City of Westmoreland have been included in this report, additionally the separately issued financial statement of the component unit are available at City Hall.

The financial statements now include government-wide financial statements prepared on the accrual basis of accounting and the economic measurement focus for all funds. The fund financial statements present information for individual major funds rather than by fund type. Nonmajor funds are presented in one column. The reporting includes the reporting of capital assets, infrastructure and depreciation, the elimination of account groups, and the inclusion of management's discussion and analysis. The government-wide financial statements present the City's programs between business-type and governmental activities.

Government -Wide and Fund Financial Statements

The Government-wide financial statements, the statement of Net Position and the statement of changes in Net Position, report information on all of the nonfiduciary activities of the primary government. For the most part the effect of the interfund activity has been removed from these statements. Government activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(1) Summary of Significant Accounting Policies, Continued

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include (i) charges to customers or applicants who purchase, use or directly benefit from goods, services, or privileges provided by a given function or segment and (ii) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported as general revenues.

Separate financial statements are provided for governmental funds and enterprise funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the enterprise fund financial statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund revenues are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they become both measurable and collectable within the current period or soon enough thereafter to be used to pay liabilities of the current period. The government considers property taxes and other governmental revenues as available if received within 60 days of years end. Expenditures are recorded generally when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments are recorded only when payment is due.

Property taxes, state shared revenues, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period using the criteria specified in the paragraph above. All other revenue items are considered to be measurable and available only when cash is received by the government.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(1) Summary of Significant Accounting Policies, Continued

The government reports the following major funds:

General Fund - The General Fund is the general operating fund of the City. It is used to account for all financial resources of the general government except those required to be accounted for in another fund.

State Street Aid Fund - To account for the receipt and usage of the City's share of State gasoline taxes. State law requires these gasoline taxes to be used to maintain streets.

Solid Waste Fund - To account for the activity of the City's waste collection department.

Drug Fund - To account for drug fines received and usage of those monies to further drug investigations.

The government reports the following major enterprise funds:

The Utility Fund is used to account for water and sewer operations that are financed and operated in a manner similar to private business enterprises - where the intent of the governing body is that the costs (including depreciation) of providing goods or services to the general public on a continuing basis be financed or recovered primarily through user charges.

As a general rule the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments- in-lieu taxes and other charges between the government's utilities and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include (i) charges to customers or applicants for goods, services, or privileges provided, (ii) operating grants and contributions, and (iii) capital grants and contributions. General revenues include all taxes and internally dedicated resources.

Enterprise funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a enterprise fund's principal ongoing operations. The principal operating revenues of the various utility funds are charges to customers for sales and services. The Utility Fund also recognize as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the system. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses. When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, then unrestricted resources as they are needed.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(1) Summary of Significant Accounting Policies, Continued

Cash and Cash Equivalents

Cash and cash equivalents consist primarily of savings accounts, certificates of deposit with original maturities three months or less and amounts held by the State Local Government Investment Pool.

Property Tax

The City's property tax is levied each November 1 on the assessed value listed as of the prior January 1 for all real and personal property located in the City's legal boundaries. All City taxes on real estate are declared to be a lien on such realty from January 1 of the year assessments are made.

Assessed values are established by the State of Tennessee at the following rates of appraised market value:

Public Utility Property	55%
Industrial and Commercial Property	
- Real	40%
- Personal	30%
Farm and Residential Property	25%

Taxes were levied at a rate of \$1.13 per \$100 of assessed valuation for the fiscal year ended June 30, 2024. Payments may be made during the period from October 1 through February 29. Current tax collections of \$504,124 for the fiscal year ended June 30, 2024 were approximately 73 percent of the tax levy.

Delinquent taxes are turned over to the City Attorney for collection as required by the City's Municipal Code.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. The government has two items (pension and OPEB) that qualify for reporting in this category.

In addition to liabilities, the Statement of Net Position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The government has items that qualify for reporting in this category. Accordingly, the items are reported in the government-wide Statement of Net Position and the governmental funds balance sheet. These revenues are from the following sources: current and delinquent property taxes, which do not meet the availability criteria in governmental funds. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available. Additionally, the City has two items (pension related and OPEB) that qualifies for reporting in this category.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(1) Summary of Significant Accounting Policies, Continued

Net Position Flow Assumption

Sometimes the government will fund outlays for a particular purpose from both restricted and unrestricted resources. In order to calculate the amounts to report as restricted – net position and unrestricted – net position in the government-wide and enterprise fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City's policy to consider restricted – net position to have been depleted before unrestricted – net position is applied.

Capital Assets

Capital assets, which include property, plant and equipment, and infrastructure assets consisting of certain improvements other than buildings, including roads are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an individual cost of \$5,000 and an estimated useful life in excess of three years. All capital assets are valued at historical cost or estimated useful life in excess of three years. All capital assets are valued at historical cost or estimated historical cost, if actual historical cost is not available. Donated capital assets are valued at their estimated fair value on the date donated. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Interest incurred during the construction phase of capital assets of business-type activities is expensed when paid and thus not a part of the capitalized cost.

Depreciation is provided over the estimated useful lives using the straight-line method.

The estimated useful lives are as follows:

Infrastructure	40-50 years
Buildings	10-50 years
Utility Plant in Service	10-50 years
Furniture and Equipment	5-10 years

Inventory

Inventory of the Utility Fund is valued at cost, using the first in first out method. Inventory of all the governmental funds consists of expendable supplies held for consumption and are recorded at cost under the consumption method.

Receivables and Payables

Activity between funds that are representative of lending/ borrowing arrangements outstanding at the end of the fiscal year are referred to as either due from/ due to other funds (i.e. the current portion of interfund loans). Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as internal balances. Advances between funds, as reported in the fund financial statements, are offset by a fund balance reserve account in applicable governmental funds to indicate that they are not available for appropriation and are not expendable available resources. All trade receivables are shown net of an allowance for uncollectible, if applicable.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(1) Summary of Significant Accounting Policies, Continued

Long-term Obligations

In the government-wide financial statements, and enterprise fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or enterprise fund type statement of Net Position. Debt issuance costs, such as insurance costs, fees and other related costs are recognized as an expense. In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Budgets and Budgetary Accounting

The City follows these procedures in establishing the budgetary data reflected in the financial statements:

- a. Formal budgets are adopted and approved by Council vote on an annual basis for the General and Special Revenue Funds. These budgets are adopted on a basis consistent with generally accepted accounting principles (GAAP).
- b. The City Council approves, by ordinance, total budget appropriations by department only. The Mayor is authorized to transfer budget amounts between line items within each department; however, any revisions that alter the total appropriations of any fund must be approved by the City Council.
- c. The budget amounts shown in the financial statements are the final authorized amounts as amended during the year.

Restricted Assets

Certain proceeds of the Enterprise Fund bonds, as well as certain resources set aside for their repayment, are classified as restricted assets on their respective balance sheets because they are maintained in separate bank accounts and their use is either limited by applicable bond covenants or represent proceeds from bond issues that are restricted for use in construction. When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, then unrestricted resources as they are needed. When unrestricted funds are used the City uses committed, assigned then unassigned funds.

Other Post-Employment Benefit Plan - (OPEB)

For the purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to other postemployment benefits, and OPEB expense, information about the fiduciary net position of the City of Westmoreland's participation in the Local Government OPEB Plan (LGOP), and additions to/deductions from the City of Westmoreland fiduciary net position have been determined on the same basis as they are reported by the LGOP. For this purpose, benefits are recognized when due and payable in accordance with benefit terms of the LGOP.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(1) Summary of Significant Accounting Policies, Continued

Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Fund Balance

The City implemented GASB 54 which addresses issues related to how fund balances are reported. Fund balances are now reported in the following manner:

Nonspendable Fund Balance - This classification includes amounts that are (a) not in spendable form, or (b) legally or contractually required to be maintained intact. The "not in spendable form" criterion includes terms that are not expected to be converted to cash, for example: inventories, prepaid amounts, and long-term notes receivable.

Restricted Fund Balance - This classification includes amounts that are restricted for specific purposes stipulated by external resource providers, constitutionally or through enabling legislation. Restrictions may effectively be changed or lifted with the consent of resource providers.

Committed Fund Balance - This classification includes amounts that can only be used for the specific purposes determined by a formal action of the City's highest level of decision-making authority, the City Council of the City of Westmoreland, Tennessee. Commitments may be changed or lifted only by the City taking the same formal action that imposed the constraint originally (for example: ordinance).

Assigned Fund Balance - This classification included amounts intended to be used by the City for specific purposes that are neither restricted nor committed. The City Council and its designee, the Recorder, have the authority to assign amounts to be used for specific purposes. Assigned amounts also include all residual amounts in governmental funds (except negative amounts) that are not classified as nonspendable, restricted, or committed.

Unassigned Fund Balance - This fund balance is the residual classification for the general fund. It is also used to report negative fund balances in other governmental funds.

In circumstances when an expenditure is made for a purpose for which amounts are available in multiple fund balance classifications, fund balance is depleted in the order of restricted, committed, assigned, and unassigned.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(1) Summary of Significant Accounting Policies, Continued

Compensated Absences

The City has not accrued a liability for unused sick and vacation pay which is earned but not taken by City employees as it is not material to the financial statements.

Pension

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of Westmoreland's participation in the Public Employee Retirement Plan of the Tennessee Consolidated Retirement System (TCRS), and additions to/deductions from Westmoreland's fiduciary net position have been determined on the same basis as they are reported by the TCRS for the Public Employee Retirement Plan. For this purpose, benefits (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms of the Public Employee Retirement Plan of TCRS. Investments are reported at fair value.

Government Wide – Net Position

Net position is a component of equity and is displayed in the following three components:

Net Investment in Capital Assets – Consists of capital assets, net of accumulated depreciation and reduced by the outstanding balances of any bonds that are attributable to the acquisition, construction, or improvement of those assets; debt related to unspent proceeds or other restricted cash and investments is excluded from the determination.

Restricted – Consists of net position for which constraints are placed thereon by external parties, such as lenders, grantors, contributors, laws, regulations, and enabling legislation, including self-imposed legal mandates, less any related liabilities. The restrictions are evident from the classification titles.

Unrestricted – All other net position that does not meet the description of the above categories.

Leases

Under GASB Statement 87, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities. Management has determined that the City's leases do not qualify for reporting under GASB 87 due to the short-term nature of the leases.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(2) Cash and Cash Equivalents

The City is authorized to invest funds in Federal treasury bills and notes, State of Tennessee Local Government Investment Pool and financial institution demand deposit accounts and certificates of deposit. During the year, the City invested funds that were not immediately needed in certificates of deposits, savings accounts and investments in the State of Tennessee Local Government Investment Pool. The City has deposit policies to minimize custodial credit risks. All deposits with financial institutions must be secured by one of two methods. One method involves financial institutions that participate in the bank collateral pool administered by the state treasurer. Participating banks determine the aggregate balance of their public fund accounts for the State of Tennessee and its political subdivisions. The amount of collateral required to secure these public deposits must equal at least 105 percent of the average daily balance of public deposits held. Collateral securities required to be pledged by the participating banks to protect their public fund accounts are pledged to the state treasurer on behalf of the bank collateral pool. The securities pledged to protect these accounts are pledged in the aggregate rather than against each account. The members of the pool may be required by agreement to pay an assessment to cover any deficiency. Under this additional assessment agreement, public fund accounts covered by the pool are considered to be insured for purposes of credit risk disclosure.

For deposits with financial institutions that do not participate in the bank collateral pool, state statutes require that all deposits be collateralized with collateral whose market value is equal to 105 percent of the uninsured amount of the deposits. The collateral must be placed by the depository bank in an escrow account in a second bank for the benefit of the city. Cash and cash equivalents were adequately covered by federal depository insurance, insured by the depository bank's participation in the State of Tennessee Bank Collateral Pool or collateralized by securities, pledged for deposits, held by an independent third-party financial institution under the terms of a safekeeping collateral agreement in the City's name. Investment policies of the City follow state law and bond requirements prohibiting investments that are not secured or insured by the U.S. Government.

(3) Accounts Receivable

Accounts receivable at June 30, 2024, consist of the following:

<u>Fund</u>	<u>Other Government</u>	<u>Property Taxes</u>	<u>Customer Accounts</u>	<u>Total</u>
General Fund	\$ 195,159	787,999	-	983,158
Special Revenue Fund	16,287	-	18,868	35,155
Enterprise Fund	-	-	225,408	225,408
Less allowance for doubtful accounts	-	-	(6,707)	(6,707)
Total	\$ <u>211,446</u>	<u>787,999</u>	<u>237,569</u>	<u>1,237,014</u>

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(4) Capital Assets

A summary of changes in capital assets as presented in the governmental activities column of the government- wide financial statements is as follows:

	Balance <u>July 1, 2023</u>	<u>Additions</u>	<u>Deletions</u>	Balance <u>June 30, 2024</u>
Assets Not Being Depreciated				
Land	\$ 152,806	-	-	\$ 152,806
Assets Being Depreciated				
Improvements	563,262	19,755	-	583,017
Infrastructure	1,284,708	474,905	-	1,759,613
Building	1,012,714	16,100	-	1,028,814
Vehicles and equipment	<u>2,280,295</u>	<u>99,815</u>	<u>-</u>	<u>2,380,110</u>
Total	\$ <u>5,293,785</u>	<u>610,575</u>	<u>-</u>	\$ <u>5,904,360</u>
Less accumulated depreciation	(<u>2,701,378</u>)			(<u>2,910,893</u>)
Net Capital assets	\$ <u>2,592,407</u>			\$ <u>2,993,467</u>

All assets, except land of \$152,806, are being depreciated.

Depreciation expense was charged to functions/programs of the primary government as follows:

General Fund:

General government administration	\$ 41,891
Police department	50,166
Fire department	28,498
Highways and Streets	85,014
Parks department	<u>3,946</u>
Total	\$ <u>209,515</u>

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(4) Capital Assets, Continued

A summary of changes in Enterprise (Water) Department capital assets and related accumulated depreciation follows:

	Balance <u>July 1, 2023</u>	<u>Additions</u>	<u>Deletions</u>	Balance <u>June 30, 2024</u>
Assets Not Being Depreciated				
Land	\$ 5,000	-	-	\$ 5,000
Construction in progress	-	1,379,411	-	1,379,411
Assets Not Depreciated				
Furniture	8,962	-	-	8,962
Equipment	320,291	18,000	-	338,291
Buildings	40,250	-	-	40,250
Plant and distribution	6,984,618	-	-	6,984,618
Total	<u>\$ 7,359,121</u>	<u>1,397,411</u>	<u>-</u>	<u>\$ 8,756,532</u>
Less accumulated depreciation	<u>(3,796,857)</u>			<u>(3,981,172)</u>
Net plant in service	<u>\$ 3,562,264</u>			<u>\$ 4,775,360</u>

All assets, except land of \$5,000 and construction in progress of \$1,379,411, are being depreciated. Depreciation expense was \$184,315 in 2024.

A summary of changes in Enterprise (Sewer) Department capital assets and related accumulated depreciation follows:

	Balance <u>July 1, 2023</u>	<u>Additions</u>	<u>Deletions</u>	Balance <u>June 30, 2024</u>
Assets Not Being Depreciated				
Land	\$ 9,701	-	-	\$ 9,701
Construction in progress	7,282,443	1,159,353	-	8,441,796
Assets Not Being Depreciated				
Building	40,250	-	-	40,250
Equipment	227,047	7,696	-	234,743
Plant and distribution	6,702,396	133,911	-	6,836,307
Total	<u>\$ 14,261,837</u>	<u>1,300,960</u>	<u>-</u>	<u>\$15,562,797</u>
Less accumulated depreciation	<u>(3,943,382)</u>			<u>(4,142,313)</u>
Net plant in service	<u>\$ 10,318,455</u>			<u>\$11,420,484</u>

All assets, except land of \$9,701 and CIP of \$8,441,796, are being depreciated. Depreciation expense was \$198,931 in 2024.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(5) Long-Term Debt and Other Obligations Payable

Direct Borrowings

The following schedule reflects the changes in general obligation long-term debt during fiscal year 2024.

Loans Payable:	Balance July 1, 2023	Additions	Retirements	Balance June 30, 2024	Due Within One Year
Note payable - Park paving	40,507	0	12,009	28,498	12,293
Note payable - building	1,357	0	1,357	0	0
Note payable - police car	29,513	0	14,496	15,017	15,017
Note payable - Sanitation	293,351	0	43,360	249,991	45,435
Note payable - police car	13,237	0	13,237	0	0
Loan payable - building	43,948	0	900	43,048	927
Total	<u>421,913</u>	<u>0</u>	<u>85,359</u>	<u>336,554</u>	<u>73,672</u>

The following schedule reflects the changes in long-term debt, as shown in the Enterprise (Water) Department during the fiscal year 2024.

Loans Payable:	Balance July 1, 2023	Additions	Retirements	Balance June 30, 2024	Due Within One Year
Note payable - building	1,582	0	1,582	0	0
Revenue bonds - 2009	427,302	0	10,175	417,127	10,622
Revenue bonds - 1996	185,307	0	22,691	162,616	23,281
Revenue bonds - 2017	574,459	0	11,918	562,541	12,186
Water Meter Loan	0	607,412	0	607,412	69,115
Revenue bonds - 1997a	63,394	0	5,289	58,105	5,659
Total	<u>1,252,044</u>	<u>607,412</u>	<u>51,655</u>	<u>1,807,801</u>	<u>120,863</u>

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(5) Long-Term Debt and Other Obligations Payable, Continued

The following schedule reflects the changes in long-term debt, as shown in the Enterprise (Sewer) Department during the fiscal year 2024.

Loans Payable:	Balance July 1, 2023	Additions	Retirements	Balance June 30, 2024	Due Within One Year
Note payable - building	1,582	0	1,582	0	0
CW8-21-457	1,913,903	0	94,530	1,819,373	0
SRF-21-458	3,382,112	604,888	109,102	3,877,898	187,992
SRF-18-423	11,685	0	11,685	0	0
CW9-23-335	0	310,015	0	310,015	0
Revenue bonds - 1997b	97,368	0	8,911	88,457	9,518
Total	<u>5,406,650</u>	<u>914,903</u>	<u>225,810</u>	<u>6,095,743</u>	<u>197,510</u>

Principal and interest requirements to maturity on all outstanding general obligation bonds, loans and obligations as of June 30, 2024, are as follows:

Year Ending June 30,	Principal	Interest
2025	73,672	14,341
2026	61,226	11,619
2027	54,415	8,932
2028	53,292	6,404
2029	55,821	3,871
2030-2034	5,703	5,757
2035-2039	6,612	4,848
2040-2044	7,665	3,795
2045-2049	8,886	2,574
2050-2054	<u>9,262</u>	<u>992</u>
Total	<u>336,554</u>	<u>63,133</u>

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(5) Long-Term Debt and Other Obligations Payable, Continued

Principal and interest requirements to maturity on all outstanding bonds, loans and obligations as of June 30, 2024, are as follows:

Year Ending June 30,	<u>Water Department</u>		<u>Sewer Department</u>	
	<u>Principal</u>	<u>Interest</u>	<u>Principal</u>	<u>Interest</u>
2025	120,863	84,751	197,510	25,669
2026	105,372	60,653	199,382	24,286
2027	117,316	56,429	201,310	22,809
2028	129,161	51,546	203,285	21,351
2029	136,880	46,557	207,028	19,890
2030-2034	483,435	169,579	1,022,394	79,610
2035-2139	168,826	99,614	1,022,868	46,956
2040-2044	199,625	68,815	912,578	13,598
2045-2049	186,813	32,727	-	-
2050-2054	111,161	12,499	-	-
2055-2056	48,349	1,115	-	-
Total	<u>1,807,801</u>	<u>684,285</u>	<u>3,966,355*</u>	<u>254,169</u>

*Additionally, the Sewer Department has two interim loans: CW8-21-457 of \$1,819,373 and CW9-23-335 of \$310,015. These loans will be included in this schedule when the loans are fully funded.

The above bonds payable contain provisions that in the event of default, the lender can use any remedy allowed by state or federal law.

(6) Risk Management

The City of Westmoreland is exposed to various risks to general liability and property and casualty losses. The City has decided it was more economically feasible to join a public entity risk pool as opposed to purchasing commercial insurance for general liability and property and casualty coverage. The City participates in the Public Entity Partners (formerly TML Insurance Pool) which is a public entity risk pool established by the Tennessee Municipal League, an association of member cities. The City pays an annual premium for its general liability and property and casualty insurance coverage. The creation of the pool provides for it to be self-sustaining through member premiums. The pool reinsures through commercial insurance companies for claims in excess of \$130,000 for each insured event. The City has not had claims in excess of insurance coverage during the last three years.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(7) Pension Plan

General Information about the Pension Plan

Plan description. Employees of Westmoreland are provided a defined benefit pension plan through the Public Employee Retirement Plan, an agent multiple-employer pension plan administered by the TCRS. The TCRS was created by state statute under Tennessee Code Annotated Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the TCRS. The Tennessee Treasury Department, an agency in the legislative branch of state government, administers the plans of the TCRS. The TCRS issues a publicly available financial report that can be obtained at <http://treasury.tn.gov/Retirement/Boards-and-Governance/Reporting-and-Investment-Policies>.

Benefits provided. Tennessee Code Annotated, Title 8, Chapter 34-37, establishes the benefit terms and can be amended only by the Tennessee General Assembly. The chief legislative body may adopt the benefit terms permitted by statute. Members are eligible to retire with an unreduced benefit at age 60 with 5 years of service credit or after 30 years of service credit regardless of age. Benefits are determined by formula using the member's highest five consecutive year average compensation and the member's years of service credit. Reduced benefits for early retirement are available at age 55 and vested. Members vest with five years of service credit. Service-related disability benefits are provided regardless of length of service. Five years of service is required for nonservice-related disability eligibility. The service related and non-service related disability benefits are determined in the same manner as a service retirement benefit but are reduced 10 percent and include projected service credits. A variety of death benefits are available under various eligibility criteria.

Member and beneficiary annuitants are entitled to automatic cost of living adjustments (COLAs) after retirement. A COLA is granted each July for annuitants retired prior to the 2nd of July of the previous year. The COLA is based on the change in the consumer price index (CPI) during the prior calendar year, capped at 3 percent, and applied to the current benefit. No COLA is granted if the change in the CPI is less than one-half percent. A one percent COLA is granted if the CPI change is between one-half percent. A member who leaves employment may withdraw their employee contributions, plus any accumulated interest.

Employees covered by benefit terms. At the measurement date of June 30, 2023, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	17
Inactive employees entitled to but not yet receiving benefits	22
Active employees	<u>8</u>
Total	<u>47</u>

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(7) Pension Plan, Continued

Contributions. Contributions for employees are established in the statutes governing the TCRS and may only be charged by the Tennessee General Assembly. Westmoreland makes employer contributions at the rate set by the Board of Trustees as determined by an actuarial valuation. For the year ended June 30, 2024, actuarially determined contribution (ADC) for Westmoreland were (\$97,162) based on a rate of (16.05%) percent of covered payroll. By law, employer contributions are required to be paid. The TCRS may intercept Westmoreland's state shared taxes if required employer contributions are not remitted. The employer's actuarially determined contribution (ADC) and member contributions are expected to finance the costs of benefits earned by members during the year, the cost of administration, as well as an amortized portion of any unfunded liability.

Net Pension Liability (Asset)

Westmoreland's net pension liability (asset) was measured as of June 30, 2023, and the total pension liability used to calculate net pension liability (asset) was determined by an actuarial valuation as of that date.

Actuarial assumptions. The total pension liability as of June 30, 2023 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation 2.25 percent

Salary increases Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation averaging 4.00 percent.

Investment rate of return 6.75 percent, net of pension plan investment expenses, including inflation.

Cost-of-Living Adjustment 2.125 percent

Mortality rates were based on actual experience including an adjustment for some anticipated improvement.

The actuarial assumptions used in the June 30, 2023 actuarial valuation were based on the results of an actuarial experience study performed for the period July 1, 2016 through June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(7) Pension Plan, Continued

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees in conjunction with the June 30, 2020 actuarial experience study. A blend of future capital market projections and historical market returns was used in a building-block method in which a best-estimate of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) is developed for each major asset class. These best-estimates are combined to produce the long-term expected rate of return by weighting the expected future real rates by return by the target asset allocation percentage and by adding expected inflation of 2.25 percent. The best-estimates of geometric real rates of return and the TCRS investment policy target asset allocation for each major asset class are summarized in the following table:

<u>Asset class</u>	<u>Long-term Expected Real Rate of Return</u>	<u>Target Allocation</u>
U.S. equity	4.88%	31%
Developed market international equity	5.37%	14%
Emerging market international equity	6.09%	4%
Private equity and strategic lending	6.57%	20%
U.S. fixed income	1.20%	20%
Real Estate	4.38%	10%
Short-term securities	0.00%	1%
Total		100%

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees as 6.75 percent based on a blending of the three factors described above.

Discount rate. The discount rate used to measure the total pension liability was 6.75 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current rate and that contributions from Westmoreland will be made at the actuarially determined contribution rate pursuant to an actuarial valuation in accordance with the funding policy of the TCRS Board of Trustees and as required to be paid by state statute. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make projected future benefit payments of current active and inactive members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(7) Pension Plan, Continued

Changes in the Net Pension Liability (Asset)

	Increase (Decrease)		
	Total Pension Liability (Asset)	Plan Fiduciary Net Position	Net Pension Liability (Asset)
	(a)	(b)	(a) - (b)
Balance at 6/30/22	\$2,316,239	\$2,064,584	\$251,655
Changes for the Year:			
Service Cost	30,891	-	30,891
Interest	154,734	-	154,734
Changes in benefit terms	-	-	-
Differences between expected and actual experience	(32,764)	-	(32,764)
Changes in assumptions	-	-	-
Contributions-employer	-	57,195	(57,195)
Contributions-employees	-	-	-
Net investment income	-	136,970	(136,970)
Benefit payments, including refunds of employee contributions	(109,544)	(109,544)	-
Administrative expense	-	(1,477)	1,477
Other changes	-	-	-
Net changes	43,317	83,144	(39,827)
Balance at 6/30/23	\$ 2,359,556	\$ 2,147,728	\$ 211,828

Sensitivity of the net pension liability (asset) to changes in the discount rate. The following presents the net pension liability (asset) of Westmoreland calculated using the discount rate of 6.75 percent, as well as what the net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (5.75 percent) or 1-percentage-point higher (7.75 percent) than the current rate:

	1% Decrease (5.75%)	Current Discount Rate (6.75%)	1% Increase (7.75%)
Westmoreland's net pension Liability (asset)	\$566,069	\$211,828	(\$75,659)

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(7) Pension Plan, Continued

Pension Expense (Negative Pension Expense) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension expense (negative pension expense). For the year ended June 30, 2024, Westmoreland recognized pension expense of \$133,058.

Deferred outflows of resources and deferred inflows of resources. For the year ended June 30, 2024, Westmoreland reported deferred outflows or resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between expected and Actual experience	131,761	72,948
Net difference between projected and Actual earning on pension plan		
Investments	16,795	-
Changes in Assumptions	189,142	-
Contributions subsequent to the Measurement date of June 30, 2023	<u>97,162</u>	<u>-</u>
Total	<u>434,860</u>	<u>72,948</u>

The amount shown above for "Contributions subsequent to the measurement date of June 30, 2023," will be recognized as a reduction (increase) to net position liability (asset) in the following measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30:

2025	\$72,497
2026	\$64,896
2027	\$138,166
2028	(\$5,346)
2029	(\$5,461)

Thereafter -

In the table shown above, positive amounts will increase pension expense while negative amounts will decrease pension expense.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(8) Other Postemployment Benefits For Retiree Health Insurance

Plan description – Employees of the City, who were hired prior to July 1, 2015, are provided with pre-65 retiree health insurance benefits through the closed Local Government OEB Plan (LGOP) administered by the Tennessee Department of Finance and Administration. This plan is considered to be multiple-employer defined benefit plan that is used to provide postemployment benefits other than pensions (OPEB). However, for accounting purposes, this plan will be treated as a single-employer plan. All eligible pre-65 retired employees and disability participants of local governments, who chose coverage, participate in the LGOP. This plan is closed to the employees of all participating employers that were hired on or after July 1, 2015.

Benefits provided -The City offers the LGOP to provide health insurance coverage to eligible pre-65 retirees and disabled participants of local governments. Insurance coverage is the only postemployment benefit provided to retirees. An insurance committee created in accordance with TCA 8-27-701 establishes and amends the benefit terms of the LGOP. All members have the option of choosing between the premier preferred provider organization (PPO), standard PPO, limited PPO or the wellness health-savings consumer-driven health plan (CDHP) for healthcare benefits. Retired plan members, of the LGOP, receives the same plan benefits as active employees, at a blended premium rate that considers the cost of all participants. This creates an implicit subsidy for retirees. Participating employers determine their own policy related to direct subsidies provided for the retiree premiums. The City does not directly subsidize and are only subject to the implicit. The LGOP is funded on a pay-as-you-go basis and there are no assets accumulating in a trust that meets the criteria of paragraph 4 of GASB Statement NO. 75.

Employees covered by benefit terms. At July 1, 2023, the following employees were covered by the benefit terms of the LGOP:

Inactive employees or beneficiaries currently receiving benefits	0
Inactive employees entitled to but not yet receiving benefits	0
Active employees eligible for benefits	<u>24</u>
Total	<u>24</u>

An insurance committee, created in accordance with TCA 8-27-701, establishes the required payments to the LGOP by member employers and employees through the blended premiums established for active and retired employees. Claims liabilities of the plan are periodically computed using actuarial and statistical techniques to established premium rates. For the fiscal year ended June 30, 2024, the City paid \$16 to the LGOP for OPEB benefits as they came due.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(8) Other Postemployment Benefits For Retiree Health Insurance, Continued

Total OPEB Liability

Actuarial assumptions - The total OPEB liability on the June 30, 2023 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all the periods included in the measurement, unless otherwise specified.

Inflation -	2.25%
Salary increases -	Graded salary ranges from 3.44 to 8.72 percent based on age, including inflation, averaging 4 percent.
Healthcare cost trend rates -	10.31% for pre-65 in 2023, decreasing annually over a 11-year period to an ultimate rate of 4.50%. 12.44% for post-65 in 2023, decreasing annually over a 11-year period to an ultimate rate of 4.50%
Retiree's share of benefit-related costs -	Members are required to make monthly contributions in order to maintain their coverage. For the purpose of this valuation a weighted average has been used with weights derived from the current distributions of members among plans offered.

Unless noted otherwise, the actuarial demographic assumptions used in the June 30, 2023, valuations were the same as those employed in the July 1, 2022 Pension Actuarial Valuation of the Tennessee Consolidated Retirement System (TCRS). These assumptions were developed by TCRS based on the results of an actuarial experience study for the period July 1, 2016 - June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience. Mortality tables are used to measure the probabilities of participants dying before and after retirement. The mortality rates employed in this valuation are taken from the PUB-2010 Headcount-Weighted Employee mortality table for General Employees for non-disabled pre-retirement mortality, with mortality improvement projected generationally with MP-2021 from 2010. Post-retirement tables are Headcount-Weighted Below Median Healthy Annuitant and adjusted with a 6% load for males and a 14% load for females, projected generationally from 2010 with MP-2021. Mortality rates for impaired lives are the same as those used by TCRS and are taken from a gender distinct table published in the IRS Ruling 96-7 for disabled lives with a 10% load, projected generationally from 2018 with MP-2021.

Discount rate-The discount rate used to measure the total OPEB liability was 3.65 percent. This rate reflects the interest rate derived from yields on a 20-year, tax exempt general obligation municipal bonds, prevailing on the measurement date, with an average rating of AA/Aa as shown on the Bond Buyer 20-year Municipal GO AA index.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(8) Other Postemployment Benefits For Retiree Health Insurance, Continued

Changes in the Total OPEB Liability

	Total OPEB Liability (a)
Total OPEB liability - beginning balance	\$ 48,692
Changes for the year:	
Service cost	\$ 3,260
Interest	\$ 1,792
Changes of benefit terms	\$ -
Differences between expected and actual experience	\$ (31,306)
Change in assumptions	\$ 7,213
Benefit payments	\$ (2,709)
Net changes	\$ (21,750)
Total OPEB liability - ending balance	\$ 26,942

Changes in assumptions - The discount rate was changed from 3.54% as of the beginning of the measurement period to 3.65% as of June 30, 2023. This change in assumption decreased the total OPEB liability. Other changes in assumptions include adjustments to initial per capita costs and health trend rates.

Sensitivity of total OPEB liability to changes in the discount rate - The following presents the total OPEB liability related to the LGOP, as well as what the total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower or 1-percentage-point higher than the current discount rate.

1% Decrease	Current Discount Rate Assumption	1% Increase
(2.65%)	(3.65%)	(4.65%)
\$ 29,368	\$ 26,942	\$ 24,678

Sensitivity of total OPEB liability to changes in the healthcare cost trend rate - The following presents the total OPEB liability related to the LGOP, as well as what the total OPEB liability would be if it were calculated using a healthcare cost trend rate that is 1-percentage-point-lower or 1-percentage-point-higher than the current healthcare cost trend rate.

1% Decrease	Current Healthcare Cost Trend Rate Assumption	1% Increase
(9.31/11.44% decreasing to 3.50%)	(10.31/12.44% decreasing to 4.50%)	(11.31/13.44% decreasing to 5.50%)
\$ 23,532	\$ 26,942	\$ 30,953

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(8) Other Postemployment Benefits For Retiree Health Insurance, Continued

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

OPEB Expense - For the fiscal year ended June 30, 2024, the City of Westmoreland recognized OPEB expense of (\$894).

Deferred Outflows of Resources and Deferred Inflows of Resources - For the year ended June 30, 2024, the City of Westmoreland reported deferred outflows of resources and deferred inflows of resources related to OPEB benefits in the LGOP from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between expected and Actual experience	23,718	48,435
Changes in assumptions	9,694	19,181
Employer payments subsequent to The measurement date	<u>16</u>	<u>-</u>
Total	<u>33,428</u>	<u>67,616</u>

The amounts shown above for "Employer payments subsequent to the measurement date" will be recognized as a reduction to total OPEB liability in the following measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in employee benefit expense as follows:

Year Ended June 30:

2025	(5,946)
2026	(5,946)
2027	(5,946)
2028	(5,713)
2029	(4,317)
Thereafter	(336)

In the table shown above, positive amounts will increase employee benefit expense while negative amounts will decrease OPEB expense.

CITY OF WESTMORELAND, TENNESSEE

Notes to Financial Statements

June 30, 2024

(9) Commitments and Contingencies

Litigation:

There are pending lawsuits in which the City is involved. The City attorney estimates that potential claims against the City resulting from such litigation will not materially affect the financial statements of the City at yearend.

Grants:

Amounts received from Grantor agencies are subject to audit and adjustment by Grantor agencies, principally the Federal government. Any disallowed claims including amounts already collected, could become a liability of the applicable fund.

(10) Interfund Transactions

Interfund receivables and payables at June 30, 2024 were as follows:

Transfers In:

	General Fund	Solid Waste Fund	Totals
<u>Transfers Out:</u>			
Water and Sewer Fund	<u>68,604</u>	<u>34,506</u>	<u>103,110</u>
Total	\$ <u>68,604</u>	<u>34,506</u>	<u>103,110</u>

The Due To/From balance between the Water and Sewer fund and the General Fund are for shared purchases that were funded by the Water and Sewer Fund. This amount will be repaid during the next fiscal year. The Due To/From balance between the Solid Waste fund and the Water and Sewer fund is for the month of June user fees collections. These amounts were paid the following month.

REQUIRED
SUPPLEMENTARY
INFORMATION

CITY OF WESTMORELAND, TENNESSEE

Schedule of Required Supplementary Information

**Schedule of Changes in Net Pension Liability (Asset) and Related
Ratios Based on Participation in the Public Employee Pension Plan of TCRS**

Last Fiscal Year ending June 30

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
Total pension liability (asset)										
Service cost	\$ 37,253	\$ 39,875	\$ 40,108	\$ 37,044	\$ 47,853	\$ 41,686	\$ 41,934	\$ 31,670	\$ 37,339	\$ 30,891
Interest	\$ 87,047	\$ 90,546	\$ 92,582	\$ 93,714	\$ 102,171	\$ 107,942	\$ 116,439	\$ 115,609	\$ 136,184	\$ 154,734
Changes in benefit terms	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Differences between actual & expected experience	\$ (23,659)	\$ (45,007)	\$ (55,301)	\$ 40,344	\$ 1,247	\$ 36,636	\$ (87,575)	\$ (32,906)	\$ 202,157	\$ (32,764)
Change of assumptions	\$ -	\$ -	\$ -	\$ 39,473	\$ -	\$ -	\$ -	\$ 378,286	\$ -	\$ -
Benefit payments, including refunds of employee contributions	\$ (56,190)	\$ (57,024)	\$ (59,977)	\$ (58,470)	\$ (64,826)	\$ (66,188)	\$ (72,447)	\$ (71,515)	\$ (79,277)	\$ (109,544)
Net change in total pension liability (asset)	\$ 44,451	\$ 28,390	\$ 17,412	\$ 152,105	\$ 86,445	\$ 120,076	\$ (1,649)	\$ 421,144	\$ 296,403	\$ 43,317
Total pension liability (asset)-beginning	\$ 1,151,462	\$ 1,195,913	\$ 1,224,303	\$ 1,241,715	\$ 1,393,820	\$ 1,480,265	\$ 1,600,341	\$ 1,598,692	\$ 2,019,836	\$ 2,316,239
Total pension liability (asset)-ending (a)	\$ 1,195,913	\$ 1,224,303	\$ 1,241,715	\$ 1,393,820	\$ 1,480,265	\$ 1,600,341	\$ 1,598,692	\$ 2,019,836	\$ 2,316,239	\$ 2,359,556
Plan fiduciary net position										
Contributions-employer	\$ 60,199	\$ 61,965	\$ 55,822	\$ 71,015	\$ 61,237	\$ 63,757	\$ 55,748	\$ 51,840	\$ 70,163	\$ 57,195
Contributions-employee	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Net investment income	\$ 170,925	\$ 37,550	\$ 33,387	\$ 146,454	\$ 119,470	\$ 115,748	\$ 82,319	\$ 444,445	\$ (82,326)	\$ 136,970
Benefit payments, including refunds of employee contributions	\$ (56,190)	\$ (57,024)	\$ (59,977)	\$ (58,470)	\$ (64,826)	\$ (66,188)	\$ (72,447)	\$ (71,515)	\$ (79,277)	\$ (109,544)
Administrative expense	\$ (641)	\$ (822)	\$ (1,141)	\$ (1,667)	\$ (1,282)	\$ (1,204)	\$ (904)	\$ (905)	\$ (993)	\$ (1,477)
Other	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Net change in plan fiduciary net position	\$ 174,293	\$ 41,669	\$ 28,091	\$ 157,332	\$ 114,599	\$ 112,113	\$ 64,716	\$ 423,865	\$ (92,433)	\$ 83,144
Plan fiduciary net position-beginning	\$ 1,040,339	\$ 1,214,632	\$ 1,256,301	\$ 1,284,392	\$ 1,441,724	\$ 1,556,323	\$ 1,668,436	\$ 1,733,152	\$ 2,157,017	\$ 2,064,584
Plan fiduciary net position-ending (b)	\$ 1,214,632	\$ 1,256,301	\$ 1,284,392	\$ 1,441,724	\$ 1,556,323	\$ 1,668,436	\$ 1,733,152	\$ 2,157,017	\$ 2,064,584	\$ 2,147,728
Net Pension Liability (asset)-ending (a) - (b)	\$ (18,719)	\$ (31,998)	\$ (42,677)	\$ (47,904)	\$ (76,058)	\$ (68,095)	\$ (134,460)	\$ (137,181)	\$ 251,655	\$ 211,828
Plan fiduciary net position as a percentage of total pension liability	101.57%	102.61%	103.44%	103.44%	105.14%	104.26%	108.41%	106.79%	89.14%	91.02%
Covered payroll	\$ 523,012	\$ 534,178	\$ 481,225	\$ 611,668	\$ 501,945	\$ 522,597	\$ 411,124	\$ 382,299	\$ 482,884	\$ 393,634
Net pension liability (asset) as a percentage of covered payroll	3.58%	-5.99%	-8.87%	-7.83%	-15.15%	-13.03%	-32.71%	-35.88%	52.12%	53.81%

Changes of assumptions. In 2021, amounts reported as changes of assumptions resulted from changes to the inflation rate, investment rate of return, cost-of-living adjustment, and mortality improvements. In 2017, amounts reported as changes of assumptions resulted from changes to the inflation rate, investment rate of return, C25cost-of-living adjustment, salary growth and mortality improvements.

GASB 68 requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

CITY OF WESTMORELAND, TENNESSEE

Schedule of Contributions Based on Participation in the
Public Employee Pension Plan of TCRS

For the Year Ended June 30, 2024

	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>	<u>2024</u>
Actuarially determined contribution	61,965	55,822	71,015	61,237	63,757	55,748	51,840	70,163	57,195	97,162
Contributions in relation to the actuarially determined contribution	<u>61,965</u>	<u>55,822</u>	<u>71,015</u>	<u>61,237</u>	<u>63,757</u>	<u>55,748</u>	<u>51,840</u>	<u>70,163</u>	<u>57,195</u>	<u>97,162</u>
Contribution deficiency (excess)	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>	<u>\$0</u>
Covered-employee payroll	<u>534,178</u>	<u>481,225</u>	<u>611,668</u>	<u>501,945</u>	<u>522,597</u>	<u>411,124</u>	<u>382,299</u>	<u>482,884</u>	<u>393,634</u>	<u>354,975</u>
Contributions as a percentage covered-employee payroll	11.60%	11.60%	11.61%	12.20%	12.20%	13.56%	-35.88%	14.53%	14.53%	16.05%

GASB 68 requires 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to previously supplied data from the TCRS GASB website for prior years' data, in needed.

Notes to Schedule

Valuation date: Actuarially determined contribution rates for fiscal year 2024 were calculated based on the June 30, 2022 actuarial valuation.

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry Age Normal
Amortization method	Level dollar, closed (not to exceed 20 years)
Remaining amortization period	Varies by Year
Asset valuation	10-year smoothed within a 20 percent corridor to market value
Inflation	2.25 percent
Salary increases	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation, averaging 4.00 percent.
Investment Rate of Return	6.75 percent, net of investment expense, including inflation
Retirement age	Pattern of retirement determined by experience study
Mortality	Customized table based on actual experience including an adjustment for some anticipated improvement
Cost of Living Adjustments	2.125 percent

Changes of assumptions: In 2021, the following assumptions were changed: decreased inflation rate from 2.50 percent to 2.25 percent, decreased the investment rate of return from 7.25 percent to 6.75 percent, decreased the cost-of-living adjustment from 2.25 percent to 2.125 percent, and modified mortality assumptions. In 2017, the following assumptions were changed: decreased inflation rate from 3.00 percent to 2.50 percent, decreased the investment rate of return from 7.50 percent to 7.25 percent, decreased the cost-of-living adjustment from 2.50 percent to 2.25 percent, decreased salary growth graded ranges from an average of 4.25 percent to an average of 4.00 percent, and modified mortality assumptions.

CITY OF WESTMORELAND, TENNESSEE

Schedule of Required Supplementary Information - OPEB

Schedule of Changes in Total OPEB Liability and Related Ratios

Measurement Year ending June 30

	2018	2019	2020	2021	2022	2023	2024
Total OPEB Liability							
Service Cost	\$ 6,204	\$ 5,511	\$ 5,358	\$ 5,606	\$ 5,043	\$ 4,816	\$ 3,260
Interest on the Total OPEB Liability	\$ 1,411	\$ 1,856	\$ 1,572	\$ 1,370	\$ 795	\$ 775	\$ 1,792
Change in Benefit Terms	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Difference between expected and actual experience of the Total OPEB Liability	\$ -	\$ (18,899)	\$ (12,933)	\$ (11,372)	\$ 3,684	\$ 28,185	\$ (31,306)
Changes in assumptions and other inputs	\$ (2,996)	\$ 3,151	\$ 1,556	\$ 2,098	\$ (9,200)	\$ (16,076)	\$ 7,213
Benefit payments	\$ -	\$ (211)	\$ (177)	\$ (175)	\$ (207)	\$ (173)	\$ (2,709)
Net change in Total OPEB Liability	\$ 4,619	\$ (8,592)	\$ (4,624)	\$ (2,473)	\$ 115	\$ 17,527	\$ (21,750)
Total OPEB Liability - Beginning	\$ 42,120	\$ 46,739	\$ 38,147	\$ 33,523	\$ 31,050	\$ 31,165	\$ 48,692
Total OPEB Liability - Ending	\$ 46,739	\$ 38,147	\$ 33,523	\$ 31,050	\$ 31,165	\$ 48,692	\$ 26,942
Estimated Covered - Employee Payroll	N/A	N/A	\$522,597	\$411,124	\$382,299	\$375,026	\$354,975
Total OPEB Liability as a Percentage of Covered - Employee Payroll	N/A	N/A	6.41%	7.55%	8.15%	12.98%	7.59%

Notes to Schedule

Note: There are no assets accumulating, in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75, related to this OPEB plan.

The amounts reported for each fiscal year were determined as of the prior fiscal year-end. The amounts reported for each fiscal year were determined as of the prior fiscal year-end.

This schedule is intended to display ten years of information. Additional years will be displayed as they become available.

SUPPLEMENTAL INFORMATION

CITY OF WESTMORELAND, TENNESSEE

Capital Assets Used in the Operation of the Governmental Funds

Schedule of Changes in Capital Assets - by Type

June 30, 2024

<u>Description</u>	<u>Balance July 1, 2023</u>	<u>Additions</u>	<u>Disposals</u>	<u>Balance June 30, 2024</u>
Land	\$152,806	0	0	152,806
Improvements	563,262	19,755	0	583,017
Infrastructure	1,284,708	474,905	0	1,759,613
Buildings	1,012,714	16,100	0	1,028,814
Equipment	2,280,295	99,815	0	2,380,110
Total Capital Assets	<u>\$5,293,785</u>	<u>610,575</u>	<u>0</u>	<u>5,904,360</u>

CITY OF WESTMORELAND, TENNESSEE

Capital Assets Used in the Operation of the Governmental Funds

Schedule of Capital Assets - by Function and Activity

June 30, 2024

Description	Land	Infrastructure and Improvements	Buildings	Equipment	Total
General government	\$152,806	330,656	677,890	81,042	1,242,394
Parks	\$0	252,361	0	75,984	328,345
Police	0	0	80,000	437,071	517,071
Fire	0	0	253,674	1,130,607	1,384,281
Streets	0	1,759,613	0	161,244	1,920,857
Garbage	0	0	17,250	494,162	511,412
Total Capital Assets	<u>\$152,806</u>	<u>2,342,630</u>	<u>1,028,814</u>	<u>2,380,110</u>	<u>5,904,360</u>

CITY OF WESTMORELAND, TENNESSEE

**Schedule of Cash and Cash Equivalents and Certificate of Deposits
All Funds**

June 30, 2024

	<u>Carrying Value</u>
General Fund:	
Demand deposits	<u>\$746,646</u>
Total General Fund	<u>746,646</u>
 State Street Aid Fund - Demand deposits	 <u>49,188</u>
 Solid Waste Fund - Demand deposits	 11,604
Solid Waste Fund - Certificate of deposit	<u>24,966</u>
	<u>36,570</u>
 Drug Fund - Demand deposits	 <u>5,381</u>
 Total Special Revenue Funds	 <u>91,139</u>
Enterprise Fund:	
Demand deposits	1,284,094
Certificate of deposit	<u>139,026</u>
Total Water and Sewer Fund	<u>1,423,120</u>
 Total Cash and Cash Equivalents - All Funds	 <u><u>\$2,260,905</u></u>

CITY OF WESTMORELAND, TENNESSEE

Schedule of Changes in Property Taxes Receivable

For the Year Ended June 30, 2024

<u>Tax Year</u>	<u>Balance July 1, 2023</u>	<u>Levy</u>	<u>Collections and Changes in Assessment</u>	<u>Balance June 30, 2024</u>
2024	\$ -	693,477	0	693,477
2023	524,165	19	504,124	20,060
2022	15,462	0	7,957	7,505
2021	34,525	0	1,174	33,351
2020	16,167	0	627	15,540
2019	5,394	0	309	5,085
2018	4,051	0	28	4,023
2017	4,807	0	249	4,558
2016	2,486	0	0	2,486
2015	788	0	0	788
2014	1,126	0	0	1,126
	<u>\$608,971</u>	<u>693,496</u>	<u>514,468</u>	<u>787,999</u>

<u>Tax Year</u>	<u>Tax Rate</u>	<u>Tax Levy</u>	<u>Tax Adjustments and Collections</u>	<u>Outstanding Taxes</u>
2024	\$ 1.13	\$ 693,477	\$ 0	\$ 693,477
2023	1.13	524,184	504,124	20,060
2022	1.13	499,789	492,284	7,505
2021	1.13	486,244	452,893	33,351
2020	1.13	504,614	489,074	15,540
2019	1.13	501,349	496,264	5,085
2018	1.40	507,110	503,087	4,023
2017	1.40	504,020	499,462	4,558
2016	1.40	506,052	503,566	2,486
2015	1.40	504,403	503,615	788
2014	1.40	500,271	499,145	1,126

All delinquent taxes except 2023 have been turned over to the County for collection.

CITY OF WESTMORELAND, TENNESSEE

**Schedule of Debt Service Requirements-
Sewer Department**

June 30, 2024

Year	BONDS SERIES - 1997B		STATE LOAN SRF 2021-458		TOTAL Principal	TOTAL Interest
	Principal	Interest	Principal	Interest		
2025	\$ 9,518	1,021	187,992	24,648	197,510	25,669
2026	10,166	862	189,216	23,424	199,382	24,286
2027	10,858	621	190,452	22,188	201,310	22,809
2028	11,597	399	191,688	20,952	203,285	21,351
2029	14,080	198	192,948	19,692	207,028	19,890
2030	14,784	101	195,468	18,444	210,252	18,545
2031	17,454	45	196,740	17,172	214,194	17,217
2032			198,024	15,900	198,024	15,900
2033			199,308	14,616	199,308	14,616
2034			200,616	13,332	200,616	13,332
2035			201,924	12,024	201,924	12,024
2036			203,244	10,716	203,244	10,716
2037			204,564	9,396	204,564	9,396
2038			205,896	8,076	205,896	8,076
2039			207,240	6,744	207,240	6,744
2040			208,596	5,400	208,596	5,400
2041			209,952	4,044	209,952	4,044
2042			211,320	2,688	211,320	2,688
2043			282,710	1,466	282,710	1,466
	\$ 88,457	3,247	3,877,898	250,922	3,966,355	254,169

Additionally, the Sewer Department has two interim loans. CW8-21-457 of \$1,819,373 and CW9-23-335 of \$310,015.

CITY OF WESTMORELAND, TENNESSEE

Schedule of Debt Service Requirements-
Water Department

June 30, 2024

Year	Water Meter Loan		BONDS SERIES - 2009		BONDS SERIES - 1996		BONDS SERIES - 1997A		BONDS SERIES - 2019		TOTALS	TOTALS
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
2025	\$ 69,115	51,966	10,622	18,334	23,281	602	5,659	1,303	12,186	12,546	120,863	84,751
2026	50,763	29,158	11,090	17,866	25,004	450	6,055	907	12,460	12,272	105,372	60,653
2027	53,744	26,177	11,578	17,378	32,774	175	6,479	708	12,741	11,991	117,316	56,429
2028	57,543	22,378	12,087	16,869	39,572	89	6,932	505	13,027	11,705	129,161	51,546
2029	61,539	18,382	12,619	16,337	41,985	31	7,417	395	13,320	11,412	136,880	46,557
2030	65,535	14,386	13,174	15,782			7,937	299	13,620	11,112	100,266	41,579
2031	68,732	11,189	13,754	15,202			8,492	197	13,927	10,805	104,905	37,393
2032	71,929	7,992	14,359	14,597			5,256	48	14,240	10,492	105,784	33,129
2033	75,681	4,241	14,991	13,965			3,878	20	14,560	10,172	109,110	28,398
2034	32,831	5,931	15,651	13,305					14,888	9,844	63,370	29,080
2035			16,339	12,617					15,223	9,509	31,562	22,126
2036			17,058	11,898					15,565	9,167	32,623	21,065
2037			17,809	11,147					15,916	8,816	33,725	19,963
2038			18,592	10,364					16,274	8,458	34,866	18,822
2039			19,410	9,546					16,640	8,092	36,050	17,638
2040			20,264	8,692					17,014	7,718	37,278	16,410
2041			21,156	7,800					17,397	7,335	38,553	15,135
2042			22,087	6,869					17,788	6,944	39,875	13,813
2043			23,059	5,897					18,189	6,543	41,248	12,440
2044			24,073	4,883					18,598	6,134	42,671	11,017
2045			25,133	3,823					19,016	5,716	44,149	9,539
2046			26,238	2,718					19,444	5,288	45,682	8,006
2047			27,393	1,563					19,882	4,850	47,275	6,413
2048			8,591	421					20,329	4,403	28,920	4,824
2049									20,787	3,945	20,787	3,945
2050									21,254	3,478	21,254	3,478
2051									21,732	3,000	21,732	3,000
2052									22,221	2,511	22,221	2,511
2053									22,721	2,011	22,721	2,011
2054									23,233	1,499	23,233	1,499
2055									23,755	977	23,755	977
2056									24,594	138	24,594	138
	<u>\$ 607,412</u>	<u>191,800</u>	<u>417,127</u>	<u>257,873</u>	<u>162,616</u>	<u>1,347</u>	<u>58,105</u>	<u>4,382</u>	<u>562,541</u>	<u>228,883</u>	<u>1,807,801</u>	<u>684,285</u>

CITY OF WESTMORELAND, TENNESSEE

Schedule of Debt Service Requirements-
General Long-Term Debt

June 30, 2024

Year	BUILDING IMPROVEMENTS LOAN PAYABLE		PARK PAVING LOAN		SANITATION TRUCK NOTE PAYABLE		POLICE CAR LOAN		TOTAL	
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
2025	\$ 927	1,365	12,293	858	45,435	11,967	15,017	151	73,672	14,341
2026	954	1,338	12,662	489	47,610	9,792			61,226	11,619
2027	983	1,309	3,543	110	49,889	7,513			54,415	8,932
2028	1,013	1,279			52,279	5,125			53,292	6,404
2029	1,043	1,249			54,778	2,622			55,821	3,871
2030	1,074	1,218							1,074	1,218
2031	1,106	1,186							1,106	1,186
2032	1,140	1,152							1,140	1,152
2033	1,174	1,118							1,174	1,118
2034	1,209	1,083							1,209	1,083
2035	1,245	1,047							1,245	1,047
2036	1,283	1,009							1,283	1,009
2037	1,321	971							1,321	971
2038	1,361	931							1,361	931
2039	1,402	890							1,402	890
2040	1,444	848							1,444	848
2041	1,487	805							1,487	805
2042	1,532	760							1,532	760
2043	1,577	715							1,577	715
2044	1,625	667							1,625	667
2045	1,674	618							1,674	618
2046	1,724	568							1,724	568
2047	1,775	517							1,775	517
2048	1,829	463							1,829	463
2049	1,884	408							1,884	408
2050	1,940	352							1,940	352
2051	1,998	294							1,998	294
2052	2,058	234							2,058	234
2053	2,043	81							2,043	81
2054	1,223	31							1,223	31
	<u>\$ 43,048</u>	<u>24,506</u>	<u>28,498</u>	<u>1,457</u>	<u>249,991</u>	<u>37,019</u>	<u>15,017</u>	<u>151</u>	<u>336,554</u>	<u>63,133</u>

TOWN OF WESTMORELAND, TENNESSEE

Schedule of Changes in Long-term Debt by Individual Issue

June 30, 2024

	Original Amount of Issue	Interest Rate	Date of Issue	Last Maturity Date	Outstanding 7/1/2023	Issued During Period	Paid and/or Matured During Period	Refunded During Period	Outstanding 6/30/2024
Governmental Activities									
Note payable - Park paving	\$ 82,200	3.00%	2019	9/21/2027	\$ 40,507	\$ -	\$ 12,009	\$ -	\$ 28,498
Note payable - building	35,000	3.50%	2010	5/24/2024	\$ 1,357	\$ -	\$ 1,357	\$ -	\$ -
Note payable - police car	41,909	8.84%	2023	6/30/2025	\$ 29,513	\$ -	\$ 14,496	\$ -	\$ 15,017
Note payable - Sanitation truck	334,560	4.79%	2022	6/30/2029	\$ 293,351	\$ -	\$ 43,360	\$ -	\$ 249,991
Note payable - police car	39,711	0.00%	2022	3/29/2024	\$ 13,237	\$ -	\$ 13,237	\$ -	\$ -
Loan payable - building renovation	100,000	3.13%	2014	5/1/2054	\$ 43,948	\$ -	\$ 900	\$ -	\$ 43,048
Total Long-term Debt Payable					\$ 421,913	\$ -	\$ 85,359	\$ -	\$ 336,554
Business-type Activities - Water									
Note payable - building	35,000	3.50%	2010	5/24/2024	\$ 1,582	\$ -	\$ 1,582	\$ -	\$ -
Revenue bonds - 2009	535,000	4.38%	2009	9/30/2047	\$ 427,302	\$ -	\$ 10,175	\$ -	\$ 417,127
Revenue bonds - 1996	350,000	4.88%	1996	3/14/2028	\$ 185,307	\$ -	\$ 22,691	\$ -	\$ 162,616
Revenue bonds - 2017	650,000	2.25%	2017	3/20/2055	\$ 574,459	\$ -	\$ 11,918	\$ -	\$ 562,541
Water Meter Loan	607,412	3.50%	2024	5/20/2034	\$ -	\$ 607,412	\$ -	\$ -	\$ 607,412
Revenue bonds - 1997a	120,000	4.88%	1997	1/6/2032	\$ 63,394	\$ -	\$ 5,289	\$ -	\$ 58,105
Total Loans Payable					\$ 1,252,044	\$ 607,412	\$ 51,655	\$ -	\$ 1,807,801
Business-type Activities - Sewer									
Note payable - building	35,000	3.50%	2010	5/24/2024	\$ 1,582	\$ -	\$ 1,582	\$ -	\$ -
CW8-21-457	2,500,000	0.65%	2021	unknown	\$ 1,913,903	\$ -	\$ 94,530	\$ -	\$ 1,819,373
SRF-21-458	3,987,000	0.65%	2021	11/30/2043	\$ 3,382,112	\$ 604,888	\$ 109,102	\$ -	\$ 3,877,898
SRF-18-423	189,000	1.10%	2018	10/7/2023	\$ 11,685	\$ -	\$ 11,685	\$ -	\$ -
CW9-23-335	310,015	2.66%	2022	unknown	\$ -	\$ 310,015	\$ -	\$ -	\$ 310,015
Revenue bonds - 1997b	220,000	4.88%	1997	4/8/2030	\$ 97,368	\$ -	\$ 8,911	\$ -	\$ 88,457
Total Loans Payable					\$ 5,406,650	\$ 914,903	\$ 225,810	\$ -	\$ 6,095,743

CITY OF WESTMORELAND, TENNESSEE

Schedule of Utility Rates and Customers

June 30, 2024

Town Rates:

<u>Water and Sewer Rates</u>	<u>Water</u>				<u>Sewer</u>	
	<u>Residential Inside</u>	<u>Commercial Inside</u>	<u>Residential Outside</u>	<u>Commercial Outside</u>	<u>Residential Inside</u>	<u>Commercial Inside</u>
Minimum charge (2,000 gallons)	33.76	43.89	50.64	60.77	40.52	52.66
2,001 - 5,000 gallons	8.55	14.21	12.84	17.90	10.27	21.49
5,001 - 10,000 gallons	8.36	12.77	12.64	15.80	10.03	18.96

There were approximately 1,425 water customers and approximately 950 sewer customers at yearend.

CITY OF WESTMORELAND, TENNESSEE
Schedule of Federal and State Financial Assistance
For the Year Ended June 30, 2024

<u>Assistance Listing Number</u>	<u>State Grant Number</u>	<u>Program Name</u>	<u>Grantor Agency</u>	<u>Receivable (Deferred) Balance July 1, 2023</u>	<u>Grant Receipts</u>	<u>Other Receipts</u>	<u>Grant Expenditures</u>	<u>Receivable (Deferred) Balance June 30, 2024</u>
State Program:								
N/A	N/A	VCIF - Public Safety	Tennessee Department of Finance and Administration	<u>0</u>	<u>35,458</u>	<u>0</u>	<u>35,458</u>	<u>0</u>
Federal Programs:								
21.027	N/A	American Rescue Plan Act	US Department of Treasury thru the State of Tennessee	<u>(433,879)</u>	<u>0</u>	<u>0</u>	<u>0</u>	<u>(433,879)</u>
66.458	N/A	Clean Water State Revolving Fund Loan proceeds	U. S. Department of EPA thru the Tennessee Department of Environment and Conservation	<u>0</u>	<u>914,903</u>	<u>0</u>	<u>914,903</u>	<u>0</u>
66.458	N/A	Clean Water State Revolving Fund Loan forgiveness	U. S. Department of EPA thru the Tennessee Department of Environment and Conservation	<u>0</u>	<u>77,504</u>	<u>0</u>	<u>77,504</u>	<u>0</u>
		Total 66.458		<u>0</u>	<u>992,407</u>	<u>0</u>	<u>992,407</u>	<u>0</u>
		Total Federal		<u>(433,879)</u>	<u>992,407</u>	<u>0</u>	<u>992,407</u>	<u>(433,879)</u>
		Total State and Federal		<u>(433,879)</u>	<u>1,027,865</u>	<u>0</u>	<u>1,027,865</u>	<u>(433,879)</u>

This schedule prepared on the accrual basis of accounting.

CITY OF WESTMORELAND, TENNESSEE

Schedule of Expenditures of Federal Awards

June 30, 2024

<u>Program Name</u>	<u>Assistance Listing Number</u>	<u>Expenditures</u>
Clean Water State Revolving Fund Loan proceeds	66.458	\$ <u>914,903</u>
Clean Water State Revolving Fund Loan forgiveness	66.458	\$ <u>77,504</u>
Total		\$ <u>992,407</u>

1. This schedule is prepared on the accrual basis of accounting.
2. The City did not elect to use the 10% de minimis cost rate.
3. The City has \$5,697,271 in outstanding loan balances to the Clean Water Revolving Fund.

COMPLIANCE AND INTERNAL CONTROL

JOHN R. POOLE, CPA
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INDEPENDENT AUDITOR'S REPORT ON
INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE
AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS
PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS

Mayor and City Council
City of Westmoreland, Tennessee
Westmoreland, Tennessee

I have audited in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business type activities and each major fund, the discretely presented component unit of the City of Westmoreland as of and for the year ended June 30, 2024, and the related notes to the financial statements, which collectively comprise the City of Westmoreland's basic financial statements as listed in the table of contents, and have issued a report thereon dated November 30, 2024.

Internal Control Over Financial Reporting

In planning and performing my audit of the financial statements, I considered the City of Westmoreland's internal control over financial reporting (internal control) as a basis for designing the audit procedures that are appropriate in the circumstances for the purpose of expressing an opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City of Westmoreland's internal control. Accordingly, I do not express an opinion on the effectiveness of the City of Westmoreland's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

My consideration of the internal control was for the limited purpose described in the preceding paragraph and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. I did identify certain deficiencies in internal control, described in the accompanying Schedule of Findings and Responses as items 2024-001, 2024-002, and 2024-003, that I consider to be material weaknesses.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City of Westmoreland's financial statements are free of material misstatement, I performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of the financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of the audit and, accordingly, I do not express such an opinion. The results of the tests disclosed one instance of noncompliance or other matters that are required to be reported under Government Auditing Standards, which is described in the accompanying Schedule of Findings and Responses as 2024-003.

Response to Findings

The City of Westmoreland's response to the findings identified in the audit is described in the Schedule of Findings and Responses. The City of Westmoreland's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, I express no opinion on it.

Purpose of This Report

The purpose of this report is solely to describe the scope of the testing of internal control and compliance and the result of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

John R Poole, CPA

November 30, 2024

JOHN R. POOLE, CPA
CERTIFIED PUBLIC ACCOUNTANT

134 NORTHLAKE DRIVE
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(615) 822-4177

**INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR EACH MAJOR
FEDERAL PROGRAM; REPORT ON INTERNAL CONTROL OVER COMPLIANCE**

Mayor and Council Members
City of Westmoreland, Tennessee
Westmoreland, Tennessee

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

I have audited the City of Westmoreland's compliance with the types of compliance requirements identified as subject to audit in the *U.S. Office of Management and Budget (OMB) Compliance Supplement* that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2024. The City's major federal programs are identified in the summary of the auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In my opinion, the City of Westmoreland complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2024.

Basis for Opinion on Each Major Federal Program

I conducted my audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in the Government Auditing Standards, issued by the Comptroller General of the United States and the audit requirements of Title 2 US Code of Federal Regulation Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). My responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of the Compliance section of my report.

I am required to be independent of the City of Westmoreland and to meet my other ethical responsibilities, in accordance with the relevant ethical requirements relating to my audit. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion on compliance for each major programs. Our audit does not provide a legal determination of the City of Westmoreland's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grants agreements applicable to the City of Westmoreland's federal programs.

Auditor's Responsibilities for the Audit of Compliance

My objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and to express an opinion of City of Westmoreland's compliance based on the audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards, Government Auditing Standards and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgement made by a reasonable user of the report on compliance about City of Westmoreland's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with generally accepted auditing standards and Government Auditing Standards and the Uniform Guidance, I:

- ❖ Exercise professional judgment and maintain professional skepticism throughout the audit.
- ❖ Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City of Westmoreland's compliance with the compliance requirements referred to above and performing such other procedures as I considered necessary in the circumstances.
- ❖ Obtain an understanding of the City of Westmoreland's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances, and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City of Westmoreland's internal control over compliance. Accordingly, no such opinion is expressed.

I am required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control-over compliance that I identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with the types of compliance requirements of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

My consideration of the internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during the audit I did not identify any deficiencies in internal control over compliance that I consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that have not been identified.

My audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of the testing of internal control over compliance and the result of that testing based on the requirements of Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Joh N Poole, CPA

November 30, 2024

CITY OF WESTMORELAND, TENNESSEE

Schedule of Findings and Questioned Costs

June 30, 2024

Section I - Summary of Auditor's Results

Financial Statements

The Auditor's Report on the Financial Statements was an unmodified opinion.

Internal control over financial reporting:

Material weakness identified ? Yes. 2024-001 Separation of Duties,
2024-002 Journal Entries, 2024-003 Expenditures in Excess of Appropriations in Governmental Funds.

Significant deficiencies identified ? None reported

Noncompliance material to financial statements noted ? No.

Federal Awards

Internal control over major programs:

Material weakness identified ? No.

Significant deficiencies identified ? None reported

The auditor's report on compliance for major programs was unmodified.

There were no audit findings disclosed that are required to be reported in accordance with
2 CFR 200.516(a).

The Major Programs were:

Utility Improvements Assistance Listing Number 66.458

Type A programs have been distinguished as those programs with expenditures greater than \$750,000.
Assistance Listing Number 66.458, met this threshold

The City was not considered to be a low risk auditee.

Section II - Financial Statement Findings

There was three finding related to the financial statements which are required to be reported in accordance with
Government Auditing Standards. 2024-001 - Separation of Duties, 2024-002 - Journal Entries and
2024-003 - Expenditures in Excess of Appropriations in Governmental Funds.

Section III - Federal Award Findings and Questioned Costs

There were no findings related to Federal Awards.

The accompanying notes are an integral part of these statements.

CITY OF WESTMORELAND, TENNESSEE

Schedule of Findings and Responses

June 30, 2024

2024-001 - Separation of Duties

Condition: The City of Westmoreland currently has four employees that work in performing the majority of the accounting functions for the City. Due to only having four employees performing the accounting transactions there is currently an inadequate segregation of duties.

Criteria: Generally accepted accounting principles require that accounting functions be adequately segregated to ensure that the internal accounting controls are effective.

Cause: The City has a limited number of office employees to provide for a proper division of duties.

Effect: The risk of errors and irregularities occurring and not being detected in a timely manner along with the possibility of fraud or misappropriation of assets increases when accounting functions are not adequately segregated.

Recommendation: For adequate separation of duties, the employee who writes receipts, prepares and makes bank deposits, or writes checks should neither reconcile bank statements nor post to the cash receipts and disbursements journals.

Response: "We agree that the staff size will not allow the City to segregate duties to the optimum level desired. There are only four employees working in the department so it is virtually impossible to segregate duties unless more staff could be hired and due to the finances of our small City, we could not financially hire additional office help."

2024-002 - Journal Entries

Condition: Several year-end journal entries were needed to agree the general ledger to the supporting detail records.

Cause: The City does not have adequate staffing for this accounting to occur.

Criteria: Generally accepted accounting principles require that the general ledger agree to these detailed records.

Effect: The risk of errors and irregularities occurring and not being detected in a timely manner increases when such accounts do not agree to the general ledger.

Recommendation: The general ledger should be reconciled to the account details on at least a monthly basis.

Response: "We agree. We will work to reduce the journal entries needed at year end. The contact person for this activity is our CMFO."

CITY OF WESTMORELAND, TENNESSEE

Schedule of Findings and Responses, Continued

June 30, 2024

2024-003 - Expenditures in Excess of Appropriations in Government Funds

Condition: Actual expenditures exceeded budgeted expenditures in the General Fund, State Street Aid Fund and Solid Waste funds.

Criteria: TCA 6-56-203 states in part: The governing body of each municipality shall adopt and operate under an annual budget ordinance. ...all moneys received and expended by a municipality shall be included in a budget ordinance. Therefore, notwithstanding any other law, no municipality may expend any moneys regardless of their source...except in accordance with a budget ordinance adopted under this section.

Cause: The City did not properly monitor expenditures.

Effect: Expenditures could exceed approved budgeted amounts, compromising the City's financial position.

Recommendation: If it appears during the fiscal year that actual expenditures will exceed budgeted amounts, the Mayor and Board of Aldermen should amend the budget or provide supplemental appropriations.

Response: We concur. In the future, expenditures will be closely monitored to ensure that actual expenditures do not exceed budgeted amounts without a corresponding budget amendment or supplemental appropriation.

CITY OF WESTMORELAND, TENNESSEE

Schedule of Disposition of Prior Year Comments

June 30, 2024

<u>Finding Number</u>	<u>Finding Title</u>	<u>Status</u>
2023 – 001	Separation of Duties	Repeated

The original finding number was 1997-002. The current year finding number is 2024-001.

2023 – 002	Journal Entries	Repeated
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The original finding number was 2017-002. The current year finding number is 2024-002.

2023 – 003	Expenditures in Excess of Appropriations in Government Funds	Repeated
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The original finding number was 2021-003. The current year finding number is 2024-003.

City of Westmoreland

1001 Park Street • P.O. Box 8
Westmoreland, TN 37186

David Leath, Mayor

Phone: 615.644.3382
Fax: 615.644.3950

Management's Corrective Action Plan

Audit period: June 30, 2024

The findings from the June 30, 2024, *Schedule of Findings and Responses* are discussed below.

2024-001 Segregation of Duties (Internal Control)

Contact person: Meredith Kendall-Jenkins

Planned Corrective Action: It is not economically feasible at this time to hire a sufficient number of people to adequately separate the duties. The Board of Commissioners continues to monitor our finances and internal control.

Anticipated Completion Date: At the current time, due to our size, we do not believe we can fully segregate these duties. We will continue to improve and strengthen our internal controls, but we cannot give a definite date.

2024-002 - Journal Entries

Contact person: Meredith Kendall-Jenkins

Planned Corrective Action: We will work to reduce the journal entries needed at year end.

Anticipated Completion Date: June 30, 2025

2024-003 Expenditures in Excess of Appropriations in Government Funds

Contact person: Meredith Kendall-Jenkins

Planned Corrective Action: The City will more closely monitor financial performance to prevent overspending on budgets in future periods.

Anticipated Completion Date: June 30, 2025

Signature: _____

